

**TOWN OF PITTSBORO
NORTH CAROLINA**

Financial Statements and
Supplementary Information

Year Ended June 30, 2025

Governing Board

Kyle Shipp, Mayor
Pamela Baldwin
John Bonitz
J.A. (Jay) Farrell
John Foley
James Vose

Town Officials

Jonathan Franklin, Town Manager
Carrie Bailey, Town Clerk
Heather E.R. Meacham, Finance Director

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FINANCIAL SECTION



INDEPENDENT AUDITORS' REPORT

To the Honorable Mayor
and Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina, as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina as of June 30, 2025, and the respective changes in financial position, and where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of Town of Pittsboro Board of Alcohol Beverage Control as of June 30, 2025, and the respective changes in financial position, and where applicable, cash flows thereof for the year then ended. Those statements were audited by other auditors whose report has been furnished to us, and our opinion is based solely on the report of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Town of Pittsboro, North Carolina, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Pittsboro, North Carolina's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Governmental Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town of Pittsboro, North Carolina's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Pittsboro, North Carolina's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's discussion and Analysis, Local Government Employees' Retirement System's Schedules of the Proportionate Share of the Net Pension Liability and Contributions, and the Law Enforcement's Officers' Special Separation Allowance schedules of the Changes in Total Pension Liability and Total Pension Liability as a Percentage of Covered Payroll and the Other Postemployment Benefits Schedule of Changes in the Total OPEB Liability and Related Ratios, be presented to supplement the basic financial statements. Such information, although not a required part of the basic financial statements, is required by the Governmental Accounting Standards who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements of the Town of Pittsboro, North Carolina. The combining and individual nonmajor fund statements, budgetary schedules, and other schedules are presented for additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and other auditors. In our opinion, based on our audit and the report of the other auditors, the combining and individual nonmajor fund financial statements are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 15, 2025, on our consideration of the Town of Pittsboro's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Town of Pittsboro's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Town of Wilson's Mills' internal control over financial reporting and compliance.

Sharpe Patel PLLC

Raleigh, North Carolina
December 15, 2025

MANAGEMENT'S DISCUSSION AND ANALYSIS

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the Town of Pittsboro, we offer readers of the Town of Pittsboro's financial statements this narrative overview and analysis of the financial activities of the Town of Pittsboro for the fiscal year ended June 30, 2025. We encourage readers to read the information presented here in conjunction with additional information that we have furnished in the Town's financial statements, which follow this narrative.

Financial Highlights

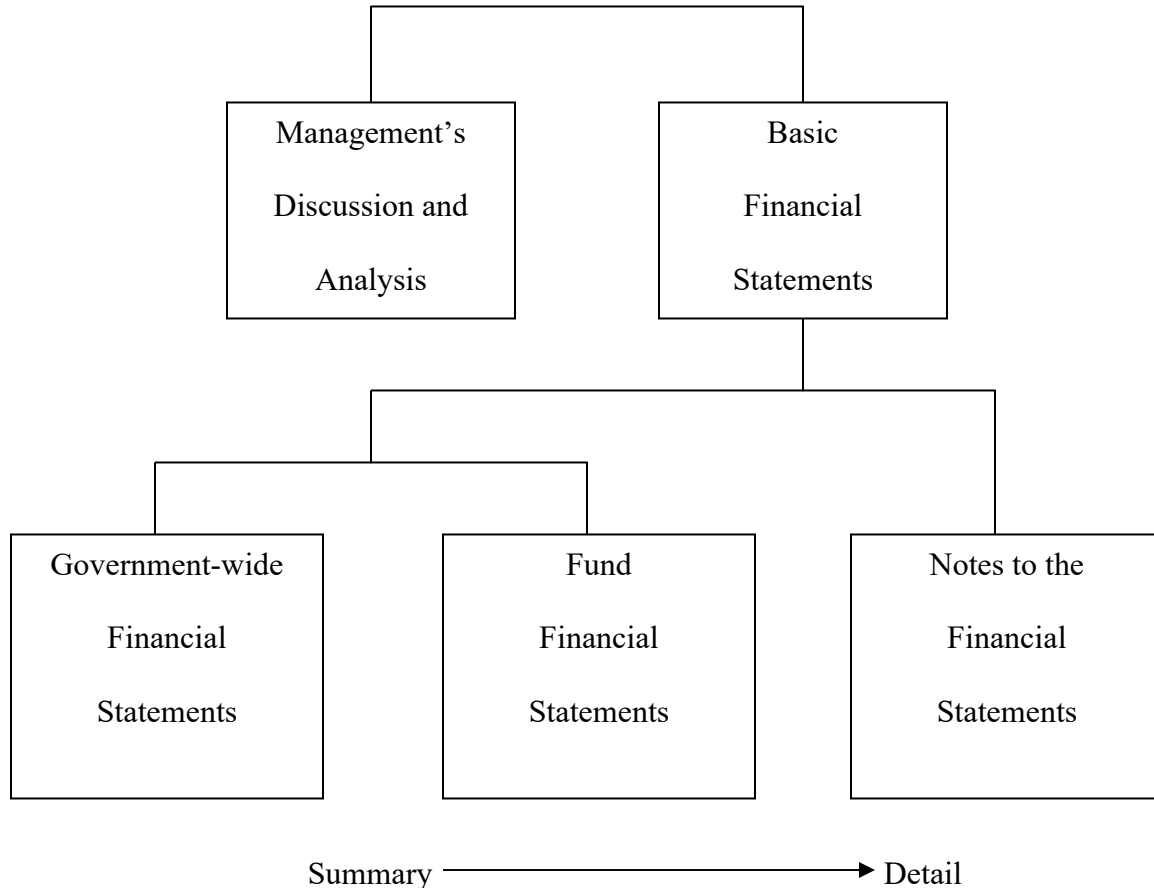
- The assets of the Town of Pittsboro exceeded its liabilities at the close of the fiscal year by \$18,039,996 (**net position**).
- The government's total net position *decreased* by \$18,399,322 due to a *decrease* in *business-type* activities net position due to the transfer of the utility system to the City of Sanford.
- As of the close of the current fiscal year, Pittsboro's governmental funds reported combined ending fund balances of \$10,173,043, an increase of \$1,465,648 in comparison with the prior year. Approximately 51.85% of this total amount, or \$5,274,733, is non-spendable, assigned or restricted.
- At the end of the current fiscal year, unassigned fund balance for the General Fund was \$4,898,310 or 48.15% of total General Fund – Fund Balance for the fiscal year.
- The Town of Pittsboro's total debt (net of compensated absences, net pension liability, and other postemployment benefits) increased by \$216,351 during the current fiscal year. The key factors in this increase were an increase in leases and in notes payable.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the Town of Pittsboro's basic financial statements. The Town's basic financial statements consist of three components; 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements (see Figure 1). The basic financial statements present two different views of the Town of Pittsboro through the use of government-wide financial statements and fund financial statements. In addition to the basic financial statements, this report contains other supplemental information that will enhance the reader's understanding of the financial condition of the Town of Pittsboro.

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Required Components of Annual Financial Report
Figure 1



Basic Financial Statements

The first two statements (Exhibits 1 and 2) in the basic financial statements are the **Government-wide Financial Statements**. They provide both short and long-term information about the Town of Pittsboro's financial status.

The next statements (Exhibits 3 through 8) are **Fund Financial Statements**. These statements focus on the activities of the individual parts of the Town of Pittsboro's government. These statements provide more detail than the government-wide statements. There are three parts to the Fund Financial Statements: 1) the governmental funds statements; 2) the budgetary comparison statements; and 3) the proprietary fund statements.

The next section of the basic financial statements is the **notes**. The notes to the financial statements explain in detail some of the data contained in those statements. After the notes, **supplemental information** is provided to show details about the Town of Pittsboro's individual funds. Budgetary information required by the General Statutes also can be found in this part of the statements.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the Town of Pittsboro's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short and long-term information about the Town's financial status as a whole.

The two government-wide statements report the Town of Pittsboro's net position and how it has changed. Net position is the difference between the Town's total assets and total liabilities. Measuring net assets is one way to gauge the Town of Pittsboro's financial condition.

The government-wide statements are divided into three categories: 1) governmental activities; 2) business-type activities; and 3) component units. The governmental activities include most of the Town of Pittsboro's basic services such as public safety, sanitation, street maintenance, recreation and parks, and general administration. Property taxes, sales taxes, charges for services, and state and federal grant funds finance most of these activities. The business-type activities are those that the Town charges customers to provide. These include the water and sewer services offered by the Town of Pittsboro. The utility system was merged with the City of Sanford as of July 1, 2024. The statements for the business-type activities reflect that transfer. The final category is the component unit. Although legally separate from the Town of Pittsboro, the Pittsboro ABC Board is important to the Town because the Town exercises control over the Board by appointing its members and because the Board is required to distribute its profits, if any, to the Town of Pittsboro.

The government-wide financial statements are on Exhibits 1 and 2 of this report.

Fund Financial Statements

The fund financial statements (See figure 1) provide a more detailed look at the Town of Pittsboro's most significant activities. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Pittsboro, like all other governmental entities in North Carolina, uses fund accounting to ensure and reflect compliance (or non-compliance) with finance-related legal requirements, such as the General Statutes or the Town of Pittsboro's budget ordinance. All of the funds of the Town of Pittsboro can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds – Governmental funds are used to account for those functions reported as governmental activities in the government-wide financial statements. Most of the Town of Pittsboro's basic services are accounted for in governmental funds. These funds focus on how assets can readily be converted into cash flow in and out, and what monies are left at year-end that will be available for spending in the next year. Governmental funds are reported using an accounting method called *modified accrual accounting* that provides a short-term spending focus. As a result, the governmental fund financial statements give the reader a detailed short-term view that helps determine if there are more or less financial resources available to finance the Town's programs. The relationship between government activities (reported in the Statement of Net Position and the Statement of Activities) and governmental funds is described in a reconciliation that is a part of the fund financial statements.

The Town of Pittsboro adopts an annual budget for its General Fund, as required by the General Statutes. The budget is a legally adopted document that incorporates input from the citizens of the Town,

Town of Pittsboro
North Carolina

MANAGEMENT’S DISCUSSION AND ANALYSIS (Continued)

management of the Town and the decisions of the Board about which services to provide and how to pay for them. It also authorizes the Town to obtain funds from identified sources to finance these current period activities. The budgetary statements provided for the General Fund demonstrates how well the Town complied with the budget ordinance and whether or not the Town of Pittsboro succeeded in providing the services a planned when the budget was adopted. The budgetary comparison statement uses the budgetary basis of accounting and is presented using the same format, language, and classifications as the legal budget document. The statements show four columns: 1) the original budget as adopted by the board; 2) the final budget as amended by the board; 3) the actual resources, charges to appropriations, and ending balances in the General Fund; and 4) the difference or variance between the final budget and the actual resources and charges. To account for the difference between the budgetary basis of accounting and the modified accrual basis, a reconciliation showing the differences in the reported activities is shown at the end of the budgetary statement.

Proprietary Funds – The Town of Pittsboro has one kind of proprietary fund. The *Enterprise Fund* is used to report the same functions presented as business-type activities in the government-wide financial statements. The Town of Pittsboro uses an Enterprise Fund to account for its water and sewer activities. The water and sewer activities for the Town of Pittsboro were transferred to City of Sanford on July 1, 2024. The fund is the same as those functions shown in the business-type activities in the Statement of Net Position and the Statement of Activities.

Notes to the Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements begin on page 26 of this report.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-Wide Financial Analysis

**The Town of Pittsboro's Net Position
Figure 2**

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Current and other assets	\$ 11,160,909	\$ 9,713,474	\$ 481,262	\$10,327,397	\$ 11,642,171	\$ 20,040,871
Capital assets	12,595,381	7,206,299	-	14,494,093	12,595,381	21,700,392
Deferred outflows of resources	1,932,734	1,512,451	-	623,134	1,932,734	2,135,585
 Total assets and deferred out of resources	 25,689,024	 18,432,224	 481,262	 25,444,624	 26,170,286	 43,876,848
 Long-term liabilities outstanding	 6,660,215	 4,230,133	 -	 1,957,331	 6,660,215	 6,187,464
Other liabilities	926,624	633,374	481,262	323,981	1,407,886	957,355
Deferred inflows of resources	956,139	876,088	-	159,181	956,139	1,035,269
 Total liabilities and deferred inflows of resources	 8,542,978	 5,739,595	 481,262	 2,440,493	 9,024,240	 8,180,088
 Net position						
Net investment in capital assets	11,879,381	7,206,299	-	13,807,842	11,879,381	21,014,141
Restricted	2,293,353	1,092,601	-	3,870,762	2,293,353	4,963,363
Unrestricted	3,867,262	5,136,287	-	5,325,527	3,867,262	10,461,814
 Total net position	 \$18,039,996	 \$13,435,187	 \$-	 \$23,004,131	 \$18,039,996	 \$36,439,318

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

As noted earlier, net position may serve over time as one useful indicator of a government's financial condition. The assets and deferred outflows of resources of the Town of Pittsboro exceeded liabilities and deferred inflows by \$18,039,996 as of June 30, 2025. The Town's net position *decreased* by \$18,399,322 for the fiscal year ended June 30, 2025 due to the merger of the utility system with the City of Sanford. The largest portion of the Town's net position, \$11,879,381 (65.9%), reflects the Town's investment in capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the Town of Pittsboro's investment in its capital assets is reported net of the outstanding related debt, the resources needed to repay that debt must be provided by other sources, since the capital assets cannot be used to liquidate these liabilities. An additional portion of the Town of Pittsboro's net position, \$2,293,353 (12.7%), represents resources that are subject to external restrictions on how they may be used. The remaining balance of \$3,867,262 (21.4%) is unrestricted. With the GASB Statement 73 reporting change, the Town has allocated its proportionate share of the Local Government Employees' Retirement System's net pension asset, deferred outflows of resources, deferred inflows of resources, and pension expense. Decisions regarding the allocations are made by the administrators of the pension plan, not by the Town of Pittsboro's management.

The Town of Pittsboro's financial operations positively influenced the total unrestricted governmental net position by:

- Continued diligence in the collection of property taxes by maintaining a tax collection percentage of 99.76% for the year ending June 30, 2025.
- Conservative spending habits within departments.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Town of Pittsboro's Changes in Net Position
Figure 3

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Revenues						
Program revenues						
Charges for services	\$ 2,311,655	\$ 1,017,095	\$ -	\$ 7,100,130	\$ 2,311,655	\$ 8,117,225
Operating grants and contributions	227,614	339,992	-	-	227,614	339,992
Capital grants and contributions	5,820,472	157,401	-	450,717	5,820,472	608,118
General revenues						
Property taxes	5,554,553	4,639,271	-	-	5,554,553	4,639,271
Other taxes	2,832,371	2,655,408	-	-	2,832,371	2,655,408
Grants and contributions not restricted to specific programs	157,016	134,513	-	-	157,016	134,513
Other	(275,467)	553,328	-	345,621	(275,467)	898,949
Total revenues	16,628,214	9,497,008	-	7,896,468	16,628,214	17,393,476
Expenses						
General government	4,515,311	2,340,741	-	-	4,515,311	2,340,741
Public safety	4,095,597	3,476,944	-	-	4,095,597	3,476,944
Transportation	1,600,042	1,179,916	-	-	1,600,042	1,179,916
Economic & physical development	324	324	-	-	324	324
Environmental protection	513,034	633,878	-	-	513,034	633,878
Culture and recreation	1,097,480	891,814	-	-	1,097,480	891,814
Main street/downtown	162,134	301,051	-	-	162,134	301,051
Interest on long-term debt	39,483	28,145	-	-	39,483	-
Water and sewer			217,018	5,479,361	217,018	5,479,361
Total expenses	12,023,405	8,852,813	217,018	5,479,361	12,240,423	14,304,029
Increase in net position before transfers	4,604,809	644,195	(217,018)	2,417,107	4,387,791	3,089,447
Transfers	-	(27,984)	(22,787,113)	27,984	(22,787,113)	-
Increase in net position	4,604,809	616,211	(23,004,131)	2,445,091	(18,399,322)	3,061,302
Net position, July 1 (consolidated)	13,435,187	12,818,976	23,004,131	20,559,040	36,439,318	33,378,016
Net position, beginning	13,435,187	12,818,976	23,004,131	20,559,040	36,439,318	33,378,016
Net position, June 30	\$18,039,996	\$13,435,187	\$-	\$23,004,131	\$18,039,996	\$36,439,318

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Governmental Activities – Governmental activities increased the Town's net position by \$4,604,809.

Business-type Activities – Business-type activities decreased the Town's net position by \$23,004,131.

Financial Analysis of the Town of Pittsboro's Funds

As noted earlier, the Town of Pittsboro uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental Funds – The focus of the Town of Pittsboro's governmental funds is to provide information on near-term inflows, outflows, and balances of usable resources. Such information is useful in assessing the Town's financing requirements. Specifically, unreserved fund balance can be a useful measure of a government's net resources available for spending at the end of the fiscal year.

The General Fund is the chief operating fund of the Town of Pittsboro. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$4,898,310 while total fund balance reached \$7,217,577. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 68% of total General Fund expenditures.

At June 30, 2025, the governmental funds of the Town of Pittsboro reported a combined fund balance of \$10,173,043, a \$1,465,648 increase over last year. Included in this change in fund balance is an increase in the Non-Major Funds Capital Project Funds and an increase in fund balance in the General Fund.

General Fund Budgetary Highlights – During the fiscal year, the Town of Pittsboro revised the budget on several occasions. Generally, budget amendments fall into one of three categories: 1) amendments made to adjust the estimates that are used to prepare the original budget ordinance once exact information is available; 2) amendments made to recognize new funding amounts from external sources, such as Federal and State grants; and 3) increases in appropriations that become necessary to maintain services.

Proprietary Funds – The Town of Pittsboro's proprietary funds provide the same type of information found in the government-wide statements but in more detail. Unrestricted net position of the Water and Sewer Fund at the end of the fiscal year amounted to \$0.00. The total net position for the fund increased by \$0.00. Other factors concerning the finances of the fund have already been addressed in the discussion of the Town of Pittsboro's business-type activities. The Water and Sewer Fund was transferred to City of Sanford as of July 1, 2024.

Capital Assets and Debt Administration

Capital Assets – The Town of Pittsboro's investment in capital assets for its governmental and business type activities as of June 30, 2025 totals \$12,595,381 (net of accumulated depreciation). These assets include buildings, streets, land, machinery and equipment, park facilities, and vehicles.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

The Town of Pittsboro's Capital Assets

Figure 4

(net of depreciation)

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Land	\$ 7,109,556	\$1,461,830	\$ -	\$ 10,200	\$ 7,109,556	\$ 1,472,030
Buildings and systems	176,092	184,746	-	15,952	176,092	200,698
Improvements other than building	-	-	-	8,165,697	-	8,165,697
Furniture and equipment	366,524	249,359	-	-	366,524	249,359
Infrastructure	1,344,076	1,225,330	-	-	1,344,076	1,225,330
Vehicles and motorized equipment	1,106,421	904,600	-	553,534	1,106,421	1,458,134
Construction in progress	2,492,712	3,180,434	-	5,748,710	2,492,712	8,929,144
Total	\$ 12,595,381	\$7,206,298	\$ -	\$ 14,494,093	\$12,595,381	\$21,700,392

Town of Pittsboro
North Carolina

MANAGEMENT’S DISCUSSION AND ANALYSIS (Continued)

Additional information on the Town of Pittsboro’s capital assets can be found in the Notes to the Financial Statements, Section II-A-4 (pages 37-38), of the Basic Financial Statements.

Long-term Debt – As of June 30, 2025, the Town of Pittsboro had total debt outstanding of \$7,079,941. This entire amount of debt is backed by the full faith and credit of the Town of Pittsboro.

The Town of Pittsboro’s Outstanding Debt
Figure 5

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
General obligation bonds	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Notes Payable	716,000	-	-	686,251	716,000	686,251
Lease Liability	964,496	777,894	-	-	964,496	777,894
Compensated absences	322,202	217,620	-	57,433	322,202	275,053
OPEB	1,131,570	727,353	-	372,158	1,131,570	1,099,511
Pension related debt	3,945,673	2,653,321	-	927,019	3,945,673	3,580,340
	<u>\$7,079,941</u>	<u>\$ 4,376,188</u>	<u>\$ -</u>	<u>\$ 2,042,861</u>	<u>\$ 7,079,941</u>	<u>\$ 6,419,049</u>

The Town of Pittsboro’s total debt increased by \$660,892 (10.3%) during the past fiscal year primarily as a result of increased liability related to pension related debt, OPEB and lease liability.

North Carolina general statutes limit the amount of general obligation debt that a unit of government can issue to 8% of the total assessed value of taxable property located within that government’s boundaries. The legal debt margin for the Town of Pittsboro is \$84,568,564. The Town has no bonds authorized at June 30, 2025.

Additional information regarding the Town’s long-term debt can be found in the Notes to the Financial Statements, Section II-6 (pages 53-57), of this report.

Economic Factors and Next Year’s Budgets and Rates

The Town of Pittsboro continued to experience positive economic growth in Fiscal Year 2024-2025. The Town saw progressively strong, positive results with our sales tax and ad valorem revenue categories. Our downtown has seen several new businesses opening, however, the sourcing of workers and supply chain inconsistencies continued to rear a negative impact on our entire economy, particularly our local businesses.

Construction and planning of new residential and commercial projects continued in earnest. Chatham Park, Mosaic and Northwood Landing expanded their construction with many new residences and the opening of commercial businesses in these developments. Utility capacity, or lack thereof, particularly on the wastewater side, continued to slow development growth.

Town of Pittsboro
North Carolina

MANAGEMENT’S DISCUSSION AND ANALYSIS (Continued)

As we look ahead to FY 2025-26 and beyond, the merger with City of Sanford was approved on August 1, 2023 and went into effect on July 1, 2024. There will be continued growth as a result of the approval of the Small Area Plan for the South Village for Chatham Park. Capital Projects and the need for more staff will also require a re-evaluation of our current fee schedules and structures. The Town’s operational costs have increased and will likely continue to increase for the foreseeable future as the Town grows. The Town will continue to assess the market conditions and project conservatively so that we can continue to enhance our service levels for our citizens, residents and customers.

Budget Highlights for the Year Ending June 30, 2026

Governmental Activities –An ad valorem tax rate of \$0.44 per \$100.00 assessed value was recommended and adopted in the base budget for the official tax rate for the Town of Pittsboro for fiscal year 2025-2026. This rate is based on the most recent valuation and uses an anticipated collection rate of 98.8%.

Ad valorem taxes (\$6,980,000) account for 49.5% of the total General Fund revenue. Other major revenue streams for the Town include sales taxes, tipping fees and utility franchise taxes. These revenues are projected to bring in \$1,955,000 (13.9%), \$557,500 (3.95%) and \$299,000 (2.12%) respectively. These four revenues account for 69.47% of the total General Fund revenues.

The fiscal year 2025-2026 original General Fund budget of \$14,101,878 is a 27.2% increase over the fiscal year 2024-2025 original budget. This increase included \$1,218,878 in general fund balance appropriation.

Enterprise Activities

Effective July 1, 2024 the Town of Pittsboro Enterprise Fund was transferred to City of Sanford and therefore we did not budget any funds for Enterprise activities in FY 2025-2026.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Requests for Information

This report is designed to provide an overview of the Town of Pittsboro's finances for those with an interest in this area. Questions concerning any of the information found in this report or requests for additional information should be directed to the Town Manager or Finance Officer.

Town of Pittsboro
P.O. Box 759
Pittsboro, North Carolina 27312
919-542- 4621
www.pittsboronc.gov

BASIC FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Net Position
June 30, 2025

Exhibit 1

	Primary Government			Town of Pittsboro ABC Board
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Current assets:				
Cash and cash equivalents	\$ 8,831,298	\$ 481,262	\$ 9,312,560	\$ 299,802
Taxes receivables (net)	10,344	-	10,344	-
Accounts receivable	25,651	-	25,651	84,487
Due from other governments	945,092	-	945,092	-
Investments	1,250,000	-	1,250,000	-
Inventories	-	-	-	433,045
Prepaid items	25,914	-	25,914	5,577
Restricted cash	72,610	-	72,610	257,029
Total current assets	11,160,909	481,262	11,642,171	1,079,940
Non-current assets:				
Right to use lease asset, net of amortization	893,950	-	893,950	-
Capital assets:				
Land, non-depreciable improvements and construction in progress	9,602,269	-	9,602,269	6,750
Other capital assets, net of depreciation	2,993,112	-	2,993,112	289,682
Total capital assets	12,595,381	-	12,595,381	296,432
Total non-current assets	13,489,331	-	13,489,331	296,432
Total assets	24,650,240	481,262	25,131,502	1,376,372
DEFERRED OUTFLOWS OF RESOURCES				
OPEB deferrals	85,287	-	85,287	-
Pension deferrals	1,847,447	-	1,847,447	-
Total deferred outflows of resources	1,932,734	-	1,932,734	-
LIABILITIES				
Current liabilities:				
Accounts payable and accrued liabilities	417,904	481,262	899,166	225,031
Due to other governments	88,994	-	88,994	-
Current portion of long-term liabilities	419,726	-	419,726	-
Total current liabilities	926,624	481,262	1,407,886	225,031
Long-term liabilities:				
Net pension liability	3,085,302	-	3,085,302	-
Total pension liability	860,371	-	860,371	-
Due in more than one year	2,714,542	-	2,714,542	-
Total liabilities	7,586,839	481,262	8,068,101	225,031
DEFERRED INFLOWS OF RESOURCES				
Prepaid taxes	20,623	-	20,623	-
Deferred rent	450,000	-	450,000	-
OPEB deferrals	396,189	-	396,189	-
Pension deferrals	89,327	-	89,327	-
Total deferred inflows of resources	956,139	-	956,139	-
NET POSITION				
Net investment in capital assets	11,879,381	-	11,879,381	296,432
Restricted for:				
Stabilization by State Statute	2,220,743	-	2,220,743	-
Other functions	72,610	-	72,610	340,013
Unrestricted	3,867,262	-	3,867,262	514,896
Total net position	\$ 18,039,996	\$ -	\$ 18,039,996	\$ 1,151,341

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Activities
For the Year Ended June 30, 2025

Exhibit 2

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position			
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Primary Government			Town of Pittsboro ABC Board
					Governmental Activities	Business-type Activities	Total	
Primary government:								
Governmental activities:								
General government	\$ 4,515,311	\$ 1,800,109	\$ -	\$ -	\$ (2,715,202)	\$ -	\$ (2,715,202)	\$ -
Public safety	4,095,597	837	7,415	-	(4,087,345)	-	(4,087,345)	-
Transportation	1,600,042	-	195,344	172,746	(1,231,952)	-	(1,231,952)	-
Economic and physical development	324	-	-	-	(324)	-	(324)	-
Environmental protection	513,034	504,883	-	-	(8,151)	-	(8,151)	-
Cultural and recreation	1,097,480	5,826	24,855	5,647,726	4,580,927	-	4,580,927	-
Main street/downtown	162,134	-	-	-	(162,134)	-	(162,134)	-
Interest on long-term debt	39,483	-	-	-	(39,483)	-	(39,483)	-
Total governmental activities	<u>12,023,405</u>	<u>2,311,655</u>	<u>227,614</u>	<u>5,820,472</u>	<u>(3,663,664)</u>	<u>-</u>	<u>(3,663,664)</u>	<u>-</u>
Business-type activities:								
Water and sewer	217,018	-	-	-	-	(217,018)	(217,018)	-
Total primary government	<u>\$ 12,240,423</u>	<u>\$ 2,311,655</u>	<u>\$ 227,614</u>	<u>\$ 5,820,472</u>	<u>(3,663,664)</u>	<u>(217,018)</u>	<u>(3,880,682)</u>	<u>-</u>
Component unit								
ABC Board	<u>\$ 2,586,553</u>	<u>\$ 2,808,862</u>	<u>\$ -</u>	<u>\$ -</u>				222,309
General revenues:								
Taxes:								
Property taxes, levied for general purpose					5,554,553	-	5,554,553	-
Other taxes					2,832,371	-	2,832,371	-
Grants and contributions not restricted to specific programs					157,016	-	157,016	-
Unrestricted investment earnings					182,211	-	182,211	3,488
Gain (loss) on Sale of capital assets					(1,364,647)	-	(1,364,647)	-
Miscellaneous					906,969	-	906,969	164
Special item:								
Transfer of operations					-	(22,787,113)	(22,787,113)	
Transfers					-	-	-	(174,812)
Total general revenues and transfers					<u>8,268,473</u>	<u>(22,787,113)</u>	<u>(14,518,640)</u>	<u>(171,160)</u>
Change in net position					4,604,809	(23,004,131)	(18,399,322)	51,149
Net position, beginning					13,435,187	23,004,131	36,439,318	1,100,192
Net position, ending					<u>\$ 18,039,996</u>	<u>\$ -</u>	<u>\$ 18,039,996</u>	<u>\$ 1,151,341</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Balance Sheet
Governmental Funds
June 30, 2025

Exhibit 3

	<u>Major Fund</u>		<u>Total</u>
	<u>General</u>	<u>Total Non-</u>	<u>Governmental</u>
		<u>Major Funds</u>	<u>Funds</u>
ASSETS			
Cash and cash equivalents	\$ 5,824,251	\$ 3,013,964	\$ 8,838,215
Restricted cash	72,610	-	72,610
Taxes receivable - net	10,344	-	10,344
Accounts receivable	25,651	-	25,651
Investments	1,250,000	-	1,250,000
Due from other governments	945,092	-	945,092
Prepaid items	25,914	-	25,914
Total assets	<u>\$ 8,153,862</u>	<u>\$ 3,013,964</u>	<u>\$ 11,167,826</u>
LIABILITIES			
Accounts payable and accrued liabilities	\$ 366,324	\$ 58,498	\$ 424,822
Due to other governments	88,994	-	88,994
Total liabilities	<u>455,318</u>	<u>58,498</u>	<u>513,816</u>
DEFERRED INFLOWS OF RESOURCES			
Prepaid taxes, licenses and fees	20,623	-	20,623
Prepaid rent	450,000	-	450,000
Taxes receivable	10,344	-	10,344
Total deferred inflows of resources	<u>480,967</u>	<u>-</u>	<u>480,967</u>
FUND BALANCES			
Nonspendable:			
Prepaid items	25,914	-	25,914
Restricted:			
Stabilization by State Statute	2,220,743	-	2,220,743
Streets	72,610	-	72,610
Assigned:			
Capital projects funds	-	2,955,466	2,955,466
Unassigned	4,898,310	-	4,898,310
Total fund balances	<u>7,217,577</u>	<u>2,955,466</u>	<u>10,173,043</u>
Total liabilities, deferred inflows of resources and fund balances	<u>\$ 8,153,862</u>	<u>\$ 3,013,964</u>	<u>\$ 11,167,826</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Balance Sheet - Governmental Funds to the
Statement of Net Position
June 30, 2025

Exhibit 3

Amounts reported for governmental activities in the Statement of Net Position (Exhibit 1) are different because:

Total Fund Balance, Governmental Funds		\$ 10,173,043
Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds.		
Gross capital assets at historical cost	17,733,938	
Accumulated depreciation	<u>(5,138,557)</u>	12,595,381
Right to use leased assets used in governmental activities are not financial resources and therefore not reported in the funds.		
Right to use leased assets which were capitalized.	1,265,200	
Amortization expense for intangible assets	<u>(371,250)</u>	893,950
Contributions to the pension plan in the current fiscal year are deferred outflows of resources on the Statement of Net Position.		1,847,447
Earned revenues considered deferred inflows of resources in fund statements.		10,344
Deferred inflows of resources related to OPEB are not reported in the funds		(396,189)
Long-term liabilities used in governmental activities are not financial uses and therefore are not reported in the funds		
Long-term debt included as net position below (includes the addition of long-term debt and principal payments during the year).		(2,002,697)
Pension related deferrals		(89,327)
OPEB deferred outflows		85,287
Net pension liability		(3,085,302)
Total pension liability		(860,371)
OPEB liability		<u>(1,131,570)</u>
Net position of governmental activities		<u><u>\$ 18,039,996</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2025

Exhibit 4

	<u>Major Fund</u>		<u>Total</u>
	<u>General Fund</u>	<u>Total Non-</u>	<u>Governmental</u>
		<u>Major Funds</u>	<u>Funds</u>
REVENUES			
Ad valorem taxes	\$ 5,592,345	\$ -	\$ 5,592,345
Other taxes and licenses	2,832,371	-	2,832,371
Unrestricted intergovernmental	157,016	-	157,016
Restricted intergovernmental	227,614	1,422,746	1,650,360
Permits and fees	220,101	-	220,101
Sales and services	2,091,554	-	2,091,554
Investment earnings	182,063	148	182,211
Miscellaneous	401,756	505,213	906,969
Total revenues	<u>11,704,820</u>	<u>1,928,107</u>	<u>13,632,927</u>
EXPENDITURES			
Current:			
General government	3,400,746	-	3,400,746
Public safety	4,207,753	-	4,207,753
Transportation	1,624,187	1,357,040	2,981,227
Economic and physical development	-	209,220	209,220
Environmental protection	513,034	-	513,034
Cultural and recreational	973,982	582,608	1,556,590
Main street/downtown	161,828	-	161,828
Debt service:			
Principal	170,317	-	170,317
Interest	-	-	-
Total expenditures	<u>11,051,847</u>	<u>2,148,868</u>	<u>13,200,715</u>
Excess (deficiency) of revenues over expenditures	<u>652,973</u>	<u>(220,761)</u>	<u>432,212</u>
OTHER FINANCING SOURCES (USES)			
Transfer from other funds	814,358	1,429,136	2,243,494
Transfer to other funds	(1,429,136)	(814,358)	(2,243,494)
Lease interest	(39,483)	-	(39,483)
Proceeds from loan	1,072,919	-	1,072,919
Total other financing sources (uses)	<u>418,658</u>	<u>614,778</u>	<u>1,033,436</u>
Net change in fund balance	1,071,631	394,017	1,465,648
Fund balances, beginning	<u>6,145,946</u>	<u>2,561,449</u>	<u>8,707,395</u>
Fund balances, ending	<u>\$ 7,217,577</u>	<u>\$ 2,955,466</u>	<u>\$ 10,173,043</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances
of Governmental Funds to the Statement of Activities
For the Year Ended June 30, 2025

Exhibit 4

Amounts reported for governmental activities in the statement of activities are different because:

Net changes in fund balances- total governmental funds	\$	1,465,648
--	----	-----------

Governmental funds report capital outlays as expenditures. However, in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period.

Capital outlay expenditures which were capitalized	1,971,397		
Depreciation expense for governmental assets	<u>(508,475)</u>		1,462,922
Right to use leased asset capital outlay expenditures	-		
Amortization expense for intangible assets	<u>(205,527)</u>		(205,527)

Contributions to the pension plan in the current fiscal year are not included on the Statement of Activities		347,768
--	--	---------

The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes financial resources of governmental funds. Neither transaction has any effect on net position. This amount is the net effect of these differences in the treatment of long-term debt and related items.

New long-term debt issues	(1,072,919)		
Principal payments on long-term debt	<u>170,317</u>		(902,602)

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.

Donation of land		5,647,726
Change in unavailable revenue for tax revenues		(37,792)

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.

Compensated absences	(104,582)		
Pension expense	(1,704,105)		
Loss on disposal of assets	<u>(1,364,647)</u>		(3,173,334)

Total changes in net position of governmental activities	\$	<u>4,604,809</u>
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The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 5

General Fund

**Statement of Revenues, Expenditures, and Changes in fund Balance – Budget to Actual
For the Year Ended June 30, 2025**

	General Fund			Variance with Final Budget - Positive (Negative)
	Budget		Actual	
	Original	Final	Amounts	
Revenues:				
Ad valorem taxes	\$ 5,586,000	\$ 5,586,000	\$ 5,592,345	\$ 6,345
Other taxes and licenses	2,616,800	2,616,800	2,832,371	215,571
Unrestricted intergovernmental	100,000	100,000	157,016	57,016
Restricted intergovernmental	171,000	226,344	227,614	1,270
Permits and fees	219,000	109,500	220,101	110,601
Sales and services	667,415	776,915	2,091,554	1,314,639
Investment earnings	50,000	145,000	182,063	37,063
Miscellaneous	405,000	499,000	401,756	(97,244)
Total revenues	9,815,215	10,059,559	11,704,820	1,645,261
Expenditures:				
Current:				
General government	3,158,669	3,659,589	3,400,746	258,843
Public safety	4,465,884	4,355,235	4,207,753	147,482
Transportation	1,590,440	1,710,385	1,624,187	86,198
Environmental protection	584,415	584,415	513,034	71,381
Cultural and recreational	935,406	999,151	973,982	25,169
Main street/downtown	235,680	234,680	161,828	72,852
Debt Service:				
Principal	-	176,300	170,317	5,983
Interest	-	-	-	-
Total expenditures	10,970,494	11,719,755	11,051,847	667,908
Revenues over (under) expenditures	(1,155,279)	(1,660,196)	652,973	2,313,169
Other financing sources (uses):				
Transfers from other funds	-	-	814,358	814,358
Transfers to other funds	(119,022)	(614,778)	(1,429,136)	(814,358)
Lease interest	-	(33,500)	(39,483)	(5,983)
Proceeds from loan	716,000	1,072,919	1,072,919	-
Fund balance appropriated	558,301	1,235,555	-	(1,235,555)
Total other financing sources (uses)	1,155,279	1,660,196	418,658	(1,241,538)
Net change in fund balance	\$ -	\$ -	1,071,631	\$ 1,071,631
Fund balance, beginning			6,145,946	
Fund balance, ending			\$ 7,217,577	

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Net Position
Proprietary Fund
June 30, 2025

Exhibit 6

	Non-Major Enterprise Fund Water and Sewer Fund
ASSETS	
Current assets:	
Cash and cash equivalents	\$ 481,262
Total current assets	<u>481,262</u>
Total assets	<u><u>\$ 481,262</u></u>
 DEFERRED OUTFLOWS OF RESOURCES	 <u>\$ -</u>
 LIABILITIES	
Due to other governments	<u>481,262</u>
Total current liabilities	<u>481,262</u>
Total liabilities	<u>481,262</u>
 OPEB deferrals	 -
Pension deferrals	<u>-</u>
 DEFERRED INFLOWS OF RESOURCES	 <u>-</u>
 NET POSITION	
Unrestricted	<u>-</u>
Total net position	<u><u>\$ -</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Net Position
Proprietary Fund
For the Year Ended June 30, 2025

Exhibit 7

	Non-Major Enterprise Fund Water and Sewer Fund
OPERATING REVENUES	
Total operating revenues	\$ -
OPERATING EXPENSES	
Total operating expenses	-
Operating income (loss)	-
NONOPERATING REVENUES (EXPENSES)	
Bad debt expense	(217,018)
Total nonoperating revenues (expenses)	(217,018)
Income (loss) before contributions and transfers	(217,018)
Transfer to other funds	(479,328)
Transfer from other funds	479,328
Transfer of operations	(22,787,113)
Change in net position	(23,004,131)
Total net position, beginning	23,004,131
Total net position, ending	\$ -

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Cash Flows
Proprietary Fund
For the Year Ended June 30, 2025

Exhibit 8

**Non-Major
Enterprise
Fund**

**Water and
Sewer Fund**

CASH FLOWS FROM OPERATING ACTIVITIES

Cash received from customers	\$ 1,253,968
Cash paid for goods and services	242,811
Cash paid to or on behalf of employees for services	(892,657)
Net cash provided (used) by operating activities	<u>604,122</u>

CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES

Principal paid on bonds/loans	(686,251)
Transfers	-
Transfer of operations	(22,787,113)
Acquisition and construction of capital assets	14,494,093
Net cash provided (used) by capital and related financing activities	<u>(8,979,271)</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Bad debt expense	(217,018)
Net increase (decrease) in cash and cash equivalents	(8,592,167)
Balances, beginning	9,073,429
Balances, ending	<u>\$ 481,262</u>

Reconciliation of operating income (loss) to net cash provided (used) by operating activities:

Operating income (loss)	<u>\$ -</u>
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Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:

Depreciation	-
--------------	---

Changes in assets and liabilities:

Decrease (increase) in accounts receivable	967,624
Decrease (increase) in due from other governments	286,344
Increase (decrease) in accounts payable and accrued liabilities	247,945
Increase (decrease) in accrued interest	(5,134)
Increase (decrease) in net pension liability	(927,019)
Increase (decrease) in accrued vacation	(57,433)
(Increase) decrease in deferred outflows of resources for pensions	623,134
Increase (decrease) in deferred inflows of resources for pensions	(12,730)
Increase (decrease) in deferred inflows of resources - OPEB	(146,451)
Increase (decrease) in OPEB liability	(372,158)

Total adjustments	<u>604,122</u>
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Net cash provided (used) by operating activities	<u>\$ 604,122</u>
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The accompanying notes to the financial statements are an integral part of these statements.

NOTES TO THE FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies

The accounting policies of the Town of Pittsboro (“the Town”) and its discretely presented component unit, the Town of Pittsboro ABC Board, conform to generally accepted accounting principles as applicable to governments. The following is a summary of the more significant accounting policies:

A. Reporting Entity

The Town of Pittsboro is a municipal corporation that is governed by an elected mayor and a five-member council. As required by generally accepted accounting principles, these financial statements present the Town and its component unit, a legally separate entity for which the Town is financially accountable. The discretely presented component unit presented below is reported in a separate column in the Town’s financial statements in order to emphasize that it is legally separate from the Town.

Town of Pittsboro ABC Board

The members of the ABC Board’s governing board are appointed by the Town. In addition, the ABC Board is required by State Statute to distribute its surpluses, if any, to the General Fund of the Town. The ABC Board, which has a June 30 year-end, is presented as if it were a proprietary fund (discrete presentation). Complete financial statements for the ABC Board may be obtained from the entity’s administrative offices at the Town of Pittsboro ABC Board, P.O. Box 642, Pittsboro, North Carolina 27312.

B. Basis of Presentation

Government-wide Financial Statements: The statement of net position and the statement of activities display information about the primary government and its component unit. These statements include the financial activities of the overall government. Eliminations have been made to minimize the double counting of internal activities. These statements distinguish between the *governmental* and *business-type activities* of the Town. Governmental activities generally are financed through taxes, intergovernmental revenues, and other non-exchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the Town and for each function of the Town’s governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements: The fund financial statements provide information about the Town’s funds. Separate statements for each fund category – *governmental and proprietary* – are presented. The Town has no fiduciary funds to report. The emphasis of fund financial statements is on major governmental and enterprise funds, each displayed in a separate column. All remaining governmental and enterprise funds are aggregated and reported as non-major funds.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation (Continued)

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Non-operating revenues, such as subsidies result from non-exchange transactions. Other non-operating revenues are ancillary activities such as investment earnings.

The Town reports the following major governmental fund:

General Fund. The General Fund is the general operating fund of the Town. The General Fund accounts for all financial resources except those that are required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and various other taxes and licenses. The primary expenditures are for public safety, streets, sanitation, parks and recreation and general government services.

The Town reports the following non-major governmental fund:

Capital Projects Funds. The Capital Projects Funds were established to account for funds that are restricted for use for a particular purpose, mainly the acquisition of equipment, construction of special projects and renovations of the Town's capital assets. The projects include the Capital Reserve Project, the Sidewalks and Greenways Project, the NC DOT Project, the Affordable Housing Project, the Oakwood Drive Flooding Project, the Buildings and Grounds Project, the PESR Culvert Project, and the Parks and Recreation Project..

The Town reports the following non-major enterprise fund:

Water and Sewer Fund. This fund is used to account for the Town's water and sewer operations.

C. Measurement Focus and Basis of Accounting

In accordance with North Carolina General Statutes, all funds of the Town are maintained during the year using the modified accrual basis of accounting.

Government-wide and Proprietary Fund Financial Statements. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus. The government-wide and proprietary fund financial statements are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of when the related cash flows take place. Non-exchange transactions, in which the Town gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants, and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from grants and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

C. Measurement Focus and Basis of Accounting (Continued)

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Town's enterprise fund are charges to customers for sales and services. The Town also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for the enterprise fund include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Governmental Fund Financial Statements. Governmental funds are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under this method, revenues are recognized when measurable and available. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on general long-term debt, claims and judgments, and compensated absences, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

The Town considers all revenues available if they are collected within 90 days after year-end, except for property taxes. Ad valorem taxes receivable are not accrued as revenue because the amount is not susceptible to accrual. At June 30, taxes receivable for property other than motor vehicles are materially past due and are not considered to be an available resource to finance the operations of the current year. Also, as of September 1, 2013, State law altered the procedures for the assessment and collection of property taxes on registered motor vehicles in North Carolina. Effective with this change in the law, the State of North Carolina is responsible for billing and collecting the property taxes on registered motor vehicles on behalf of all municipalities and special tax districts. Property taxes are due when vehicles are registered. The billed taxes are applicable for the fiscal year in which they are received. Uncollected taxes that were billed during this period prior to September 1, 2013 and for limited registration plates are shown as a receivable in these financial statements and are offset by deferred inflows of resources.

Sales taxes and certain intergovernmental revenues, such as the utilities franchise tax, collected and held by the State at year-end on behalf of the Town are recognized as revenue. Sales taxes are considered a shared revenue for the Town of Pittsboro because the tax is levied by Chatham County and then remitted to and distributed by the State. Most intergovernmental revenues and sales and services are not susceptible to accrual because generally they are not measurable until received in cash. Under the terms of grant agreements, the Town funds certain programs by a combination of specific cost-reimbursement grants, categorical block grants, and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the Town's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then general revenues.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

D. Budgetary Data

The Town's budgets are adopted as required by the North Carolina General Statutes. An annual budget is adopted for the General Fund and the Water and Sewer Fund. All annual appropriations lapse at the fiscal year-end. Project ordinances are adopted for the Capital Projects Fund. All budgets are prepared using the modified accrual basis of accounting. Appropriations are made at the departmental level and are amended as necessary by the governing board. The manager may make interdepartmental transfers (limited to 10% of the department's budget) without Board approval. Expenditures may not legally exceed appropriations at the departmental level for all annually budgeted funds and at the object level for the multi-year funds. All amendments greater than 10% of a department's budget must be approved by the governing board and the Board must adopt an interim budget that covers that time until the annual ordinance can be adopted.

E. Assets, Liabilities, Deferred Outflows/Inflows of Resources, and Fund Equity

1. Deposits and Investments

All deposits of the Town and the ABC Board are made in board-designated official depositories and are secured as required by State law [G.S. 159-31]. The Town may designate, as an official depository, any bank or savings association whose principal office is located in North Carolina. Also, the Town and ABC Board may establish time deposit accounts such as NOW and SuperNOW accounts, money market accounts, and certificates of deposit.

State law [G.S. 159-30(c)] authorizes the City and the ABC Board to invest in obligations of the United States or obligations fully guaranteed both as to principal and interest by the United States, obligations of the State of North Carolina, bonds and notes of any North Carolina local government or public authority, obligations of certain non-guaranteed federal agencies, certain high quality issues of commercial paper and bankers' acceptances, and the North Carolina Capital Management Trust ("NCCMT"). The City's and the ABC Board's investments are generally reported at fair value. The NCCMT Government Portfolio, a SEC-registered (2a-7) money market mutual fund, is measured at fair value. Because the NCCMT Government has a weighted average maturity of less than 90 days, it is presented as an investment with a maturity of less than 6 months.

2. Cash and Cash Equivalents

The Town pools money from several funds to facilitate disbursement and investment and to maximize investment income. Therefore, all cash and investments are essentially demand deposits and are considered cash and cash equivalents. The Town and ABC Board consider all highly liquid investments (including restricted assets) with a maturity of three months or less when purchased to be cash and cash equivalents.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

3. Restricted Assets

The unexpended loan proceeds from a loan agreement entered into by the Town are classified as restricted assets because their use is completely restricted to the purposes of purchasing police vehicles. Customer deposits held by the Town before any services are supplied are restricted to the service for which the deposit was collected. Any unexpended balances of grant or loan funds for the Capital Projects Funds are classified as restricted assets in the appropriate fund because their use is completely restricted to the purpose for which the grants and/or loans were intended. Powell Bill funds are also classified as restricted cash because they can be expended only for the purposes of maintain, repairing, constructing, reconstructing or widening of local streets per G.S. 136-41.1 through 136-41.4.

Town of Pittsboro Restricted Cash

Governmental Activities	
General Fund	
Streets	\$ 72,610
Total Governmental Activities	<u>72,610</u>
 Total Restricted Cash	 <u>\$ 72,610</u>

4. Ad Valorem Taxes Receivable

In accordance with State law [G.S. 105-347 and G.S. 159-13(a)], the Town levies ad valorem taxes on property other than motor vehicles on July 1st, the beginning of the fiscal year. The taxes are due on September 1st (lien date); however, interest does not accrue until the following January 6th. These taxes are based on the assessed values as of January 1, 2024. As allowed by State law, the Town has established a schedule of discounts that apply to taxes that are paid prior to the due date. In the Town's General Fund, ad valorem tax revenues are reported net of such discounts.

5. Allowances for Doubtful Accounts

All receivables that historically experience uncollectible accounts are shown net of an allowance for doubtful accounts. This amount is estimated by analyzing the percentage of receivables that were written off in prior years.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

6. Inventory and Prepaid Items

The inventories of the ABC Board are valued at cost (first-in, first-out), which approximates market. The inventories of the ABC Board consist of materials and supplies held for subsequent use. The cost of these inventories is expensed when consumed rather than when purchased. Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements and expensed as the items are used.

7. Investments

Investments primarily consist of treasury securities such as bills, notes and bonds, which are debt instruments backed by the federal government. These investments are made with the intent and ability of the Town to hold them until their fixed maturity date, therefore they are recorded at amortized cost, providing stability in earnings as their value doesn't fluctuate with market changes.

Investment securities are exposed to various risks such as interest rate, market and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported in the statement of financial position.

8. Capital Assets

Capital assets are defined by the government as assets with an initial, individual cost of more than \$5,000. Purchased or constructed capital assets are reported at cost or estimated historical cost. Donated capital assets received prior to June 15, 2015 are recorded at their estimated fair value at the date of donation. Donated capital assets received after June 15, 2015 are recorded at acquisition value. All other purchased or constructed capital assets are reported at cost or estimated historical cost. General infrastructure assets acquired prior to July 1, 2003, consist of the road network and water and sewer system assets that were acquired or that received substantial improvements subsequent to July 1, 1980, and are reported at estimated historical cost using deflated replacement cost. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings and improvements	15 - 50 years
Furniture and equipment	5 - 40 years
Infrastructure	15 - 25 years
Vehicles	5 - 8 years

Property, plant, and equipment of the ABC Board are depreciated over their useful lives on a straight-line basis as follows:

Asset Class	Estimated Useful Lives
Buildings and leasehold improvements	5 - 30 years
Store and administrative equipment	7 years

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

9. Right to Use Asset

The Town has recorded a right to use lease asset as a result of implementing GASB 87. The right to use assets are initially measured at an amount equal to the initial measurement of the related lease liability plus any lease payments made prior to the lease term, less lease incentives, and plus ancillary charges necessary to place the lease into service. The right to use assets are amortized on a straight-line basis over the life of the related lease.

10. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *Deferred Outflows of Resources*, represents a consumption of net position that applies to a future period and so will not be recognized as an expenditure until then. The Town has one item that meets this criterion, pension deferrals in the 2025 fiscal year. In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *Deferred Inflows of Resources*, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The Town has several items that met this criterion for this category – prepaid rent, prepaid property taxes, property taxes receivable and pension deferrals.

11. Long-Term Obligations

In the government-wide financial statements, and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method that approximates the effective interest method. Bonds payable are reported net of the applicable bond premiums or discount. Bond issuance costs, except for prepaid insurance costs, are expensed in the reporting period in which they are incurred. Prepaid insurance costs are expensed over the life of the debt.

In fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

12. Compensated Absences

The vacation policy of the Town provides for the accumulation of up to thirty days earned vacation leave with such leave being fully vested when earned. For the Town's government-wide and proprietary funds, an expense and a liability for compensated absences and the salary-related payments are recorded as the leave is earned. The Town has assumed a first-in, first-out method of using accumulated compensated time. The portion of that time that is estimated to be used in the next fiscal year has been designated as a current liability in the government-wide financial statements.

The Town's sick leave policy provides for an unlimited accumulation of earned sick leave. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit purposes. Since the Town does not have any obligation for the accumulated sick leave until it is actually taken, no accrual for sick leave has been made.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

12. Compensated Absences (Continued)

During the year ended June 30, 2025, the School implemented GASB Statement No. 101, *Compensated Absences*. This standard requires recognition of a liability for certain types of compensated absences, including sick leave, when specified criteria are met. During the year ended June 30, 2025, those criteria have not been met.

13. Net Position/Fund Balances

Net Position

Net position in government-wide and proprietary fund financial statements are classified as net investment in capital assets; restricted; and unrestricted. Restricted net position represents constraints on resources that are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or imposed by law through State Statute.

Fund Balances

In the governmental fund financial statements, fund balance is composed of five classifications designed to disclose the hierarchy of constraints placed on how fund balance can be spent.

The governmental fund types classify fund balances as follows:

Nonspendable Fund Balance – This classification includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact.

Prepaid Items – Portion of fund balance that is not an available resource because it represents the year-end balance of prepaid operational expenses on goods and services which is not a spendable resource.

Restricted Fund Balance – This classification includes amounts that are restricted to specific purposes externally imposed by creditors or imposed by law.

Restricted for Stabilization by State Statute - North Carolina G.S. 159-8 prohibits units of government from budgeting or spending a portion of their fund balance. This is one of several statutes enacted by the North Carolina State Legislature in the 1930's that were designed to improve and maintain the fiscal health of local government units. Restricted by State statute ("RSS"), is calculated at the end of each fiscal year for all annually budgeted funds. The calculation in G.S. 159-8(a) provides a formula for determining what portion of fund balance is available for appropriation. The amount of fund balance not available for appropriation is what is known as "restricted by State statute". *Appropriated fund balance in any fund shall not exceed the sum of cash and investments minus the sum of liabilities, encumbrances, and deferred revenues arising from cash receipts, as those figures stand at the close of the fiscal year next preceding the budget.* Per GASB guidance, RSS is considered a resource upon which a restriction is "imposed by law through constitutional provisions or enabling legislation." RSS is reduced by inventories and prepaids as they are classified as nonspendable. Outstanding Encumbrances are included within RSS. RSS is included as a component of Restricted Net position and Restricted fund balance on the face of the balance sheet.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

I. Summary of Significant Accounting Policies (Continued)

Restricted for Streets - Powell Bill portion of fund balance that is restricted by revenue source for street construction and maintenance expenditures. This amount represents the balance of the total unexpended Powell Bill funds.

Restricted for Public Safety – portion of fund balance that represents funds from the equitable sharing program and loan proceeds restricted for public safety.

Restricted for General Government – portion of fund balance that represents loan proceeds restricted for general government use.

Committed Fund Balance –portion of fund balance that can only be used for specific purposes imposed by majority vote by quorum of the Town of Pittsboro’s governing body (highest level of decision-making authority). Any changes or removal of specific purpose requires majority action by the governing body. The governing body can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

Assigned Fund Balance – portion of fund balance that the Town of Pittsboro intends to use for specific purposes.

Assigned for Capital Projects Funds – portion of fund balance assigned by the Board of Commissioners for capital expenditures.

Subsequent Year’s Expenditures – portion of fund balance that is appropriated in the next year’s budget that is not already classified in restricted or committed. The governing body approves the appropriation; however, the budget ordinance authorizes the manager to modify the appropriation within a fund up to 10% of any department’s appropriation.

Unassigned Fund Balance – the portion of fund balance that has not been restricted, committed, or assigned to specific purposes or other funds.

The Town of Pittsboro does not have a formal revenue spending policy for programs with multiple revenue sources.

The Town of Pittsboro has not adopted a minimum fund balance policy for the General Fund.

13. Deferred Benefit Cost-Sharing Plans

For purposes of measuring the net pension asset, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Governmental Employees’ Retirement System (“LGERS”) and additions to/deductions from LGERS’ fiduciary net position have been determined on the same basis as they are reported by LGERS. For this purpose, plan member contributions are recognized in the period in which the contributions are due. The Town of Pittsboro’s employer contributions are recognized when due and the Town of Pittsboro has a legal requirement to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of LGERS. Investments are reported at fair value.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds

A. Assets

1. Deposits

All the deposits of the Town and the ABC Board are either insured or collateralized by using one of two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the Town's or the ABC Board's agents in these units' names. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary for the Town and the ABC Board, these deposits are considered to be held by the Town's and the ABC Board's agents in their names. The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits.

Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the Town, the ABC Board, or the escrow agent. Because of the inability to measure the exact amounts of collateral pledged for the Town and the ABC Board under the Pooling Method, the potential exists for under-collateralization. This risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that collateralizes public deposits under the Pooling Method. The Town has no formal policy regarding custodial credit risk for deposits, but relies on the State Treasurer to enforce standards of minimum capitalization for all pooling method financial institutions and to monitor them for compliance. The Town complies with the provisions of G.S. 159-31 when designating official depositories and verifying that deposits are properly secured. The ABC Board has not adopted a formal policy regarding custodial risk for deposits.

At June 30, 2025, the Town's deposits had a carrying amount of \$3,865,638 and a bank balance of \$4,167,644. Of the bank balance, \$250,000 was covered by federal depository insurance and the remainder was covered by collateral held under the pooling method. The carrying amount of deposits for the ABC Board was \$554,832 and the bank balance was \$568,177. Of the bank balance, \$250,000 was covered by federal depository insurance and \$318,177 was covered by collateral under the pooling method. At June 30, 2025, the Town's petty cash fund totaled \$150.

2. Investments

At June 30, 2025, the Town had \$5,039,588 invested with the North Carolina Capital Management Trust's Cash Portfolio which carried a credit rating of AAAm by Standard and Poor's. The Town also had \$1,250,000 invested with a local bank. The Town has no policy regarding credit risk of its investments.

At June 30, 2025, the Town's investment balances were as follows:

Investments by Type	Valuation Measurement		Book Value at		Rating
	Method		June 30, 2025	Maturity	
U.S. Treasury Notes	Fair Value Level 1		\$1,250,000	Various	N/A

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

All investments are measured using the market approach: using prices and other relevant information generated by market transactions involving identical or comparable assets or a group of assets. Level of fair value hierarchy: Level 1 – investments are valued using directly observable, quoted prices (unadjusted) in active markets for identical assets.

Interest Rate Risk. The Town has no formal investment policy regarding interest rate risk.

Credit Risk. The Town has no formal policy regarding credit risk, but has internal management procedures that limits investments and restricts the purchase of securities to the highest possible ratings whenever particular types of securities are rated.

Custodial Credit Risk. For an investment, the custodial risk is the risk that in the event of the failure of the counterparty, the Town will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

Concentration of Credit Risk. The Town's Board places no limit on the amount that the Town may invest in any one issuer.

3. Receivables - Allowances for Doubtful Accounts

The amount of taxes receivable presented in the Balance Sheet and the Statement of Net Position includes penalties levied and outstanding in the amount of \$0.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

4. Capital Assets

Primary Government

Capital asset activity for the Primary Government for the year ended June 30, 2025, was as follows:

	<u>Beginning Balances</u>	<u>Increases</u>	<u>Decreases</u>	<u>Ending Balances</u>
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,461,830	\$ 5,647,726	\$ -	\$ 7,109,556
Construction in progress	3,180,434	898,804	(1,586,526)	2,492,712
Total capital assets not being depreciated	<u>4,642,264</u>	<u>6,546,530</u>	<u>(1,586,526)</u>	<u>9,602,268</u>
Capital assets being depreciated:				
Buildings	430,418	-	-	430,418
Furniture and equipment	874,108	305,886	-	1,179,994
Vehicles	2,022,845	409,791	(68,475)	2,364,161
Infrastructure	3,935,221	221,878	-	4,157,099
Total capital assets being depreciated	<u>7,262,592</u>	<u>937,555</u>	<u>(68,475)</u>	<u>8,131,672</u>
Less accumulated depreciation for:				
Buildings	245,672	8,654	-	254,326
Furniture and equipment	624,749	188,721	-	813,470
Vehicles	1,118,245	139,495	-	1,257,740
Infrastructure	2,709,891	171,607	(68,475)	2,813,023
Total accumulated depreciation	<u>4,698,557</u>	<u>508,477</u>	<u>(68,475)</u>	<u>5,138,559</u>
Total capital assets being depreciated, net	<u>2,564,035</u>			<u>2,993,113</u>
Governmental activity capital assets, net	<u>\$ 7,206,299</u>			<u>\$ 12,595,381</u>

Depreciation expense was charged to functions/programs of the primary government as follows:

General Government	\$ 31,442
Cultural and recreation	51,261
Economic and physical development	632
Public Safety	137,905
Public Works	287,237
Total depreciation expense	<u>\$ 508,477</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Capital asset activity for the Business-type Activities for the year ended June 30, 2025, was as follows:

	<u>Beginning Balances</u>	<u>Increases</u>	<u>Decreases</u>	<u>Ending Balances</u>
Business-type Activities:				
Water and Sewer Fund				
Capital assets not being depreciated:				
Land	\$ 10,200	\$ -	\$ (10,200)	\$ -
Construction in progress	5,748,710	-	(5,748,710)	-
Total capital assets not being depreciated	<u>5,758,910</u>	<u>-</u>	<u>(5,758,910)</u>	<u>-</u>
Capital assets being depreciated:				
Buildings	163,682	-	(163,682)	-
Other improvements	20,170,771	-	(20,170,771)	-
Vehicles	49,998	-	(49,998)	-
Equipment	1,020,031	-	(1,020,031)	-
Total capital assets being depreciated	<u>21,404,482</u>	<u>-</u>	<u>(21,404,482)</u>	<u>-</u>
Less accumulated depreciation for:				
Buildings	147,730	-	(147,730)	-
Other improvements	12,005,074	-	(12,005,074)	-
Vehicles	73,122	-	(73,122)	-
Equipment	443,373	-	(443,373)	-
Total accumulated depreciation	<u>12,669,299</u>	<u>\$ -</u>	<u>(12,669,299)</u>	<u>-</u>
Total capital assets being depreciated, net	<u>8,735,183</u>			<u>-</u>
Water and Sewer Fund capital assets, net	<u>\$ 14,494,093</u>			<u>\$ -</u>

Construction Commitments

The Town has one active construction commitment for various projects as of June 30, 2025 totaling \$647,271.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Discretely presented component unit

Activity for the ABC Board for the year ended June 30, 2025, was as follows:

	Beginning Balances	Increases	Decreases	Ending Balances
Capital assets not being depreciated:				
Land	\$ 6,750	\$ -	\$ -	\$ 6,750
Construction in progress	36	-	36	-
Capital assets being depreciated:				
Buildings and improvements	231,261	152,602	-	383,863
Vehicles	-	35,963	-	35,963
Furniture and equipment	90,494	35,866	-	126,360
Total capital assets being depreciated	<u>321,755</u>	<u>224,431</u>	<u>36</u>	<u>546,186</u>
Less accumulated depreciation for:				
Buildings and improvements	161,524	16,313	-	177,837
Vehicles	-	2,997	-	2,997
Furniture and equipment	70,026	5,644	-	75,670
Total accumulated depreciation	<u>231,550</u>	<u>24,954</u>	<u>-</u>	<u>256,504</u>
Total capital asset, net	<u>\$ 96,991</u>			<u>\$ 296,432</u>

5. Right to Use Leased Asset

The Town has recorded a right to use leased asset. The asset is a right to use asset for leased office space. The related lease is discussed in the Leases subsection of the Liabilities section of this note. The right use leased asset is amortized on a straight-line basis over the term of the related lease.

	Beginning Balances	Increases	Decreases	Ending Balances
Right to use asset				
Office space	\$ 908,281	\$ 356,919	\$ -	\$ 1,265,200
Total right to use asset	<u>908,281</u>	<u>356,919</u>	<u>-</u>	<u>1,265,200</u>
Less accumulated amortization				
Office space	165,723	205,527	-	371,250
Total accumulated amortization	<u>165,723</u>	<u>205,527</u>	<u>-</u>	<u>371,250</u>
Total right to use asset, net	<u>\$ 742,558</u>			<u>\$ 893,950</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

B. Liabilities

1. Pension Plan and Postemployment Obligations

a. Local Governmental Employees' Retirement System

Plan Description. The Town is a participating employer in the statewide Local Governmental Employees' Retirement System ("LGERS"), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS membership is comprised of general employees and local law enforcement officers ("LEOs") of participating local governmental entities. Article 3 of G.S. Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Management of the plan is vested in the LGERS Board of Trustees, which consists of 13 members – nine appointed by the Governor, one appointed by the State Senate, one appointed by the State House or Representatives, and the State Treasurer and State Superintendent, who serve as ex-officio members. The Local Governmental Employees' Retirement System is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454, or at www.osc.nc.gov.

Benefits Provided. LGERS provides retirement and survivor benefits. Retirement benefits are determined as 1.85% of the member's average final compensation times the member's years of creditable service. A member's average final compensation is calculated as the average of a member's four highest consecutive years of compensation. Plan members are eligible to retire with full retirement benefits at age 65 with five years of creditable service, at age 60 with 25 years of creditable service, or at any age with 30 years of creditable service. Plan members are eligible to retire with partial retirement benefits at age 50 with 20 years of creditable service or at age 60 with five years of creditable service (age 55 for firefighters).

Survivor benefits are available to eligible beneficiaries of members who die while in active service or within 180 days of their last day of service and who have either completed 20 years of creditable service regardless of age (15 years of creditable service for firefighters and rescue squad members who are killed in the line of duty) or have completed five years of service and have reached age 60. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions. The plan does not provide for automatic post-retirement benefit increases. Increases are contingent upon actuarial gains of the plan.

LGERS plan members who are LEOs are eligible to retire with full retirement benefits at age 55 with five years of creditable service as an officer, or at any age with 30 years of creditable service. LEO plan members are eligible to retire with partial retirement benefits at age 50 with 15 years of creditable service as an officer. Survivor benefits are available to eligible beneficiaries of LEO members who die while in active service or within 180 days of their last day of service and who also have either completed 20 years of creditable service regardless of age, or have completed 15 years of service as a LEO and have reached age 50, or have completed five years of creditable service as a LEO and have reached age 55, or have completed 15 years of creditable service as a LEO if killed in the line of duty. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Contributions. Contribution provisions are established by General Statute 128-30 and may be amended only by the North Carolina General Assembly. Town of Pittsboro employees are required to contribute 6% of their compensation. Employer contributions are actuarially determined and set annually by the LGERS Board of Trustees. The Town of Pittsboro's contractually required contribution rate for the year ended June 30, 2025, was 13.60% of compensation for law enforcement officers and 15.10% for general employees and firefighters, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year. Contributions to the pension plan from the Town of Pittsboro were \$521,704 for the year ended June 30, 2025.

Refunds of Contributions – Town employees who have terminated service as a contributing member of LGERS, may file an application for a refund of their contributions. By state law, refunds to members with at least five years of service include 4% interest. State law requires a 60-day waiting period after service termination before the refund may be paid. The acceptance of a refund payment cancels the individual's right to employer contributions or any other benefit provided by LGERS.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the Town reported a liability of \$3,085,302 for its proportionate share of the net pension liability. The net pension asset was measured as of June 30, 2024. The total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of December 31, 2023. The total pension liability was then rolled forward to the measurement date of June 30, 2024 utilizing update procedures incorporating the actuarial assumptions. The Town's proportion of the net pension asset was based on a projection of the Town's long-term share of future payroll covered by the pension plan, relative to the projected future payroll covered by the pension plan of all participating LGERS employers, actuarially determined. At June 30, 2024, the Town's proportion was 0.04577%, which was an increase of 0.00379% from its proportion as of June 30, 2023.

For the year ended June 30, 2025, the Town recognized pension expense of \$956,358. At June 30, 2025, the Town reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 540,662	\$ 3,635
Changes of assumptions	-	-
Net difference between projected and actual earnings on pension plan investments	419,445	-
Changes in proportion and differences between Town contributions and proportionate share of contributions	122,605	10,904
Town contributions subsequent to the measurement date	521,704	-
Total	<u>\$ 1,604,416</u>	<u>\$ 14,539</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

\$521,704 was reported as deferred outflows of resources related to pensions resulting from Town contributions subsequent to the measurement date will be recognized as an increase of the net pension asset in the year ended June 30, 2026. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2026	\$	343,324
2027		642,282
2028		129,994
2029		(47,427)
2030		-
Thereafter		-

Actuarial Assumptions. The total pension liability in the December 31, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	3.25 to 8.25 percent
Investment rate of return	6.5 percent, net of pension plan investment expense, including inflation

The plan currently uses mortality tables that vary by age, gender, employee group (i.e. general, law enforcement officer) and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2023 valuation were based on the results of an actuarial experience study for the period January 1, 2015 through December 31, 2019.

Future ad hoc COLA amounts are not considered to be substantively automatic and are therefore not included in the measurement.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

The projected long-term investment returns and inflation assumptions are developed through review of current and historical capital markets data, sell-side investment research, consultant whitepapers, and historical performance of investment strategies. Fixed income return projections reflect current yields across the U.S. Treasury yield curve and market expectations of forward yields projected and interpolated for multiple tenors and over multiple year horizons. Global public equity return projections are established through analysis of the equity risk premium and the fixed income return projections. Other asset categories and strategies' return projections reflect the foregoing and historical data analysis. These projections are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class as of June 30, 2024 are summarized in the following table:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Long-Term Expected Real Rate of Return</u>
Fixed Income	29.0%	1.4%
Global Equity	42.0%	5.3%
Real Estate	8.0%	4.3%
Alternatives	8.0%	8.9%
Credit	7.0%	6.0%
Inflation Protection	6.0%	4.0%
Total	<u>100%</u>	

The information above is based on 30-year expectations developed with the consulting actuary for the 2023 asset liability and investment policy study for the North Carolina Retirement Systems, including LGERS. The long-term nominal rates of return underlying the real rates of return are arithmetic annualized figures. The real rates of return are calculated from nominal rates by multiplicatively subtracting a long-term inflation assumption of 3.25%. All rates of return and inflation are annualized.

Discount rate. The discount rate used to measure the total pension liability was 6.50%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current contribution rate and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of the current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Sensitivity of the Town's proportionate share of the net pension asset to changes in the discount rate. The following presents the Town's proportionate share of the net pension asset calculated using the discount rate of 6.50 percent, as well as what the Town's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (5.50 percent) or one percentage point higher (7.50 percent) than the current rate:

	<u>1% Decrease (5.50%)</u>	<u>Discount Rate (6.50%)</u>	<u>1% Increase (7.50%)</u>
Town's proportionate share of the net pension liability (asset)	\$ 5,467,245	\$ 3,085,302	\$ 1,125,826

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued Annual Comprehensive Financial Report for the State of North Carolina.

b. Law Enforcement Officers Special Separation Allowance

1. Plan Description.

The Town of Pittsboro administers a public employee retirement system (the "Separation Allowance"), a single employer defined benefit pension plan that provides retirement benefits to the Town's qualified sworn law enforcement officers under the age of 62 who have completed at least 30 years of creditable service or have attained 55 years of age and have completed five or more years of creditable service. The Separation Allowance is equal to .85 percent of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly. Article 12D of G.S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly.

All full-time law enforcement officers of the Town are covered by the Separation Allowance. At December 31, 2024, the Separation Allowance's membership consisted of:

Retirees receiving benefits	2
Active plan members	14
Total	<u>16</u>

A separate report was not issued for the plan.

2. Summary of Significant Accounting Policies:

Basis of Accounting. The Town has chosen to fund the Separation Allowance on a pay as you go basis. Pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan.

The Separation Allowance has no assets accumulated in a trust that meets the following criteria which are outlined in GASB Statement 73.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

3. Actuarial Assumptions

The entry age actuarial cost method was used in the December 31, 2023 valuation. The total pension liability in the December 31, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	3.25 to 7.75 percent, including inflation and productivity factor
Discount rate	4.28 percent

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index from an experience study completed by the Actuary for the Local Governmental Employees' Retirement System for the five-year period ending December 31, 2019.

Mortality rates are based on the Pub-2010 amount-weighted tables and are projected from 2010 using generational improvement with Scale MP-2019.

4. Contributions

The Town is required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and has chosen to fund the amounts necessary to cover the benefits earned on a pay as you go basis through appropriations made in the General Fund operating budget. For the current year, the Town paid \$42,174 in benefits. The Town's obligation to contribute to this plan is established and may be amended by the North Carolina General Assembly. There were no contributions made by employees.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the Town reported a total pension liability of \$860,371. The total pension liability was measured as of December 31, 2023 based on a December 31, 2023 actuarial valuation. The total pension liability was then rolled forward to the measurement date of December 31, 2024 utilizing update procedures incorporating the actuarial assumptions. For the year ended June 30, 2025, the Town recognized pension expense of \$113,657.

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 198,220	\$ -
Changes of assumptions and other inputs	44,811	74,788
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 243,031</u>	<u>\$ 74,788</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2025. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2026	\$	55,479
2027		28,706
2028		25,293
2029		40,214
2030		17,115
Thereafter		1,436

Sensitivity of the Town's total pension liability to changes in the discount rate. The following presents the Town's total pension liability calculated using the discount rate of 4.28 percent, as well as what the Town's total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (3.28 percent) or 1-percentage-point higher (5.28 percent) than the current rate:

	<u>1% Decrease</u> <u>(3.28%)</u>	<u>Discount Rate</u> <u>(4.28%)</u>	<u>1% Increase</u> <u>(5.28%)</u>
Town's proportionate share of the net pension liability (asset)	\$ 930,065	\$ 860,371	\$ 797,451

Schedule of Changes in Total Pension Liability
Law Enforcement Officers' Special Separation Allowance

Beginning balance	\$ 800,167
Service Cost	32,327
Interest on the total pension liability	31,163
Changes of benefit terms	-
Differences between expected and actual experience in the measurement of the total pension liability	57,697
Changes of assumptions or other inputs	(18,809)
Benefit payments	(42,174)
Other changes	-
Total	<u>\$ 860,371</u>

The plan currently uses mortality tables that vary by age, and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

The actuarial assumptions used in the December 31, 2023 valuation were based on the results of an actuarial experience study for the five-year period ending December 31, 2019.

Total Expense, Liabilities, and Deferred Outflows and Inflows of Resources of Related to Pensions

Following is information related to the proportionate share and pension expense for all pension plans:

	LGERS	LEOSSA	Total
Pension Expense	\$ 956,358	\$ 113,657	\$ 1,070,015
Pension Liability	3,085,302	860,371	3,945,673
Proportionate share of the net pension liability	0.04577%	n/a	
Deferred Outflows of Resources			
Differences between expected and actual experience	540,662	198,220	738,882
Changes of assumptions	-	44,811	44,811
Net difference between projected and actual earnings on plan investments	419,445	-	419,445
Changes in proportion and differences between Town contributions and proportionate share of contributions	122,605	-	122,605
Town benefit payments and plan administrative expense made subsequent to the measurement date	521,704	-	521,704
Deferred Inflows of Resources			
Differences between expected and actual experience	3,635	-	3,635
Changes of assumptions	-	74,788	74,788
Net difference between projected and actual earnings on plan investments	-	-	-
Changes in proportion and differences between Town contributions and proportionate share of contributions	10,904	-	10,904

c. Supplemental Retirement Income Plan for Law Enforcement Officers

Plan Description. The Town contributes to the Supplemental Retirement Income Plan ("Plan"), a defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the Town. Article 5 of G.S. Chapter 135 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Funding Policy. Article 12E of G.S. Chapter 143 requires the Town to contribute each month an amount equal to five percent of each officer's salary, and all amounts contributed are vested immediately. Also, the law enforcement officers may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2025 were \$77,751, which consisted of \$60,621 from the Town and \$17,130 from the law enforcement officers.

d. Section 401(k) Plan for General Employees

Plan Description. The Town contributes to a 401(k) Plan, a defined contribution plan administered by the Prudential Insurance Company of America. The Plan provides retirement benefits to the general employees, other than law enforcement, employed by the Town.

Funding Policy. The Town annually determines the amount of contributions. For the year ended June 30, 2025, the Town contributed five percent (5.0%) on each general employee's salary. Also, the general employees may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2025 were \$180,607, which consisted of \$124,407 from the Town and \$56,200 from the general employees.

e. Other Postemployment Benefits

Healthcare Benefits

Plan Description. Under the terms of a Town resolution, the Town administers a single employer defined benefit Healthcare Benefits Plan (the "HCB Plan"). The Town Board has the authority to establish and amend the benefit terms and financing requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 75.

Benefits Provided. Prior to July 1, 2007, retirees qualified for benefits similar to those of employees after a minimum of five years of creditable service with the Town. The Town pays the full cost of coverage for employees' benefits through private insurers and employees have the option of purchasing dependent coverage at the Town's group rates. Employees hired on or after July 1, 2007 who retire with a minimum of 20 years of creditable service also have the option of purchasing coverage for themselves and dependents at the Town's group rate. Employees hired on or after July 1, 2007 who retire with less than 20 years of service are not eligible for postemployment coverage. Retirees who qualify for coverage receive the same benefits as active employees. Coverage for all retirees who are eligible for Medicare will be transferred to a Medicare Supplemental plan after qualifying for Medicare. The Town Council may amend the benefit provisions. A separate report was not issued for the plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

e. Other Postemployment Benefits (Continued)

Retired Employees' Years of Creditable Service	Date Hired	
	Pre-July 1, 2007	On or after July 1, 2007
Less than 5 years	Not eligible for coverage	Not eligible for coverage
5 - 20 years	Full coverage paid for by City	Not eligible for coverage
20+ years	Full coverage paid for by City	Full coverage paid for by City

Membership of the HCB Plan consisted of the following at June 30, 2024, the date of the latest actuarial valuation:

	General Employees:	Law Enforcement Officers:
Retirees and dependents receiving benefits	13	11
Terminated plan members entitled to but not yet receiving benefits	0	0
Active plan members	41	15
Total	54	26

Total OPEB Liability

The Town's total OPEB liability of \$1,131,570 was measured as of June 30, 2024 and was determined by an actuarial valuation as of that date.

Actuarial assumptions and other inputs. The total OPEB liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.5 percent
Salary increases	3.25 – 8.41% percent, average, including inflation
Discount rate	3.93 percent
Healthcare cost trend rates	Pre-Medicare – 7.0% for 2024 decreasing to an ultimate Rate of 4.5% by 2034

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index as of the measurement date.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

Changes in the Total OPEB Liability (Continued)

Changes in the Total OPEB Liability

Beginning balance	\$ 1,091,203
Service Cost	77,959
Interest	42,379
Changes of benefit terms	-
Differences between expected and actual experience	(66,112)
Changes of assumptions or other inputs	2,485
Benefit payments	(16,344)
Total	<u><u>\$ 1,131,570</u></u>

Changes in assumptions and other inputs reflect a change in the discount rate from 3.65% to 3.93%.

Mortality rates were based on the Pub-2010 mortality tables, with adjustments for LGERS experience and generational mortality improvements using Scale MP-2019.

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of an actuarial experience study for the period January 2015 through December 2019.

Sensitivity of the total OPEB liability to changes in the discount rate. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.93 percent) or 1-percentage-point higher (4.93 percent) than the current discount rate:

	<u>1% Decrease</u> <u>(2.93%)</u>	<u>Discount Rate</u> <u>(3.93%)</u>	<u>1% Increase</u> <u>(4.93%)</u>
Total OPEB Liability	\$ 1,291,955	\$ 1,131,570	\$ 992,674

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	<u>1% Decrease</u>	<u>Current</u>	<u>1% Increase</u>
Total OPEB Liability	\$ 957,143	\$ 1,131,570	\$ 1,346,341

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2025, the Town recognized OPEB expense of \$39,629. At June 30, 2025, the Town reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,453	\$ 283,108
Changes of assumptions and other inputs	82,834	113,081
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 85,287</u>	<u>\$ 396,189</u>

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2024. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2026	\$ (72,522)
2027	(71,631)
2028	(75,375)
2029	(39,002)
2030	(29,523)
Thereafter	(22,849)

2. Other Employment Benefits

The Town has elected to provide death benefits to employees through the Death Benefit Plan for members of the Local Governmental Employees' Retirement System ("Death Benefit Plan"), a multiple-employer, State-administered, cost-sharing plan funded on a one-year term cost basis. The beneficiaries of those employees who die in active service after one year of contributing membership in the System, or who die within 180 days after retirement or termination of service and have at least one year of contributing membership service in the System at the time of death are eligible for death benefits. Lump sum death benefit payments to beneficiaries are equal to the employee's 12 highest months' salary in a row during the 24 months prior to the employee's death, but the benefit may not exceed \$50,000 or be less than \$25,000. All death benefit payments are made from the Death Benefit Plan. The Town has no liability beyond the payment of monthly contributions.

The contributions to the Death Benefit Plan cannot be separated between the post-employment benefit amount and the other benefit amount. The Town considers these contributions to be immaterial.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

3. Deferred Outflows and Inflows of Resources

The Town has several deferred outflows of resources. Deferred outflows of resources is comprised of the following:

<u>Source</u>	<u>Amount</u>
Contributions to pension plan in current fiscal year	\$ 1,932,734

Deferred inflows of resources at year-end is comprised of the following:

	<u>Statement of Net Position</u>	<u>General Fund Balance Sheet</u>
Prepaid taxes (General Fund)	\$ 20,623	\$ 20,623
Deferred rent	450,000	450,000
Taxes Receivable, less penalties (General Fund)	-	10,344
OPEB deferrals	396,189	-
Pension deferrals	89,327	-
Total	<u>\$ 956,139</u>	<u>\$ 480,967</u>

4. Risk Management

The Town is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The Town participates in three (3) self-funded risk financing pools administered by the North Carolina League of Municipalities. Through these pools, the Town obtains general liability and auto liability coverage of \$1,000,000 per occurrence, property coverage up to the total insurance values of the property policy, workers' compensation coverage up to statutory limits, and employee health coverage. The liability and property exposures are reinsured through commercial carriers for claims in excess of retentions as selected by the Board of Trustees each year. Stop loss insurance is purchased by the Board of Trustees to protect against medical claims that exceed certain dollar cost levels. Specific information on the limits of the reinsurance, excess and stop loss policies purchased by the Board of Trustees can be obtained by contacting the Risk Management Services Department of the NC League of Municipalities. The pools are audited annually by certified public accountants, and the audited financial statements are available to the Town upon request.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

The Town carries commercial insurance for all other risks of loss. There have been no significant reductions in insurance coverage from the prior year, and settled claims have not exceeded coverage in any of the past three fiscal years.

The Town carries flood insurance through the National Flood Insurance Plan ("NFIP"). Because the Town is in an area of the State that has been mapped and designated an "A" area (an area close to a river, lake or stream) by the Federal Emergency Management Agency, the Town is eligible to purchase coverage of \$500,000 per structure through the NFIP. The Town also is eligible to and has purchased commercial flood insurance for another \$5,000,000 of coverage per structure.

In accordance with G.S. 159-29, the Town's employees that have access to \$100 or more at any given time of the Town's funds are performance bonded through a commercial surety bond. The finance officer, town clerk and mayor are all bonded for \$1,000,000 each through a commercial surety bond. The remaining employees that have access to funds are bonded under a blanket bond for \$1,000,000.

5. Claims, Judgments and Contingent Liabilities

The Town is contingently liable in respect to other claims in the normal course of its operations. Should the Town become liable in these matters, such liability would be satisfied by budgetary appropriation in excess of insurance coverage in a subsequent year.

6. Long-Term Obligations

a. Leases

The Town has entered into an agreement to lease office space. The lease agreement qualifies as an other than short-term lease under GASB 87 and, therefore, has been recorded at the present value of the future minimum lease payments as of the date of its inception.

The agreement was executed on February 1, 2023, to lease office space and requires 60 monthly payments, increasing by 3% annually. In November 2023, the lease was amended to expand the square footage included in the lease. The amendment also extended the life of the lease, which now expires in January 2029. The lease liability is measured at a discount rate of 4.6%, which is the incremental borrowing rate. As a result of the lease, the Town has recorded a right to use asset with a net book value of \$893,950 at June 30, 2025. The right to use asset is discussed in more detail in the Assets section of this note. The future minimum lease obligations and the net present value of these minimum lease payments as of June 30, 2025 were as follows:

Year ended June 30:	Principal	Interest
2026	\$ 252,714	\$ 39,398
2027	272,988	27,350
2028	285,905	14,474
2029	152,889	2,480
2030	-	-
	<u>\$ 964,496</u>	<u>\$ 83,702</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

b. General Obligation Indebtedness

Notes Payable

In August 2024, the Town executed an installment purchase agreement in the amount of \$716,000 to purchase multiple vehicles. The loan is to be repaid in annual payments of \$200,234, with interest at 4.64%. The loan matures in August 2028.

Annual debt service requirements to maturity for long-term obligations are as follows:

Year ended June 30:	Governmental Activities	
	Notes Payable	
	Principal	Interest
2026	\$ 167,012	\$ -
2027	174,762	-
2028	182,871	-
2029	191,355	-
Total	\$ 716,000	\$ -

The Town has a legal debt margin of \$84,568,564 at June 30, 2025.

c. Change in Long-Term Liabilities

	Beginning			Ending	Current Portion
	Balance	Increases	Decreases	Balance	of Balance
<i>Governmental activities:</i>					
Direct notes payable	\$ -	\$ 716,000	\$ -	\$ 716,000	\$ 167,012
Lease liability	777,894	356,919	170,317	964,496	252,714
Net pension liability (LGERS)	1,853,154	1,232,148	-	3,085,302	-
Total pension liability (LEO)	800,167	60,204	-	860,371	-
Compensated absences	217,620	104,582	-	322,202	-
Total OPEB liability	727,353	404,217	-	1,131,570	-
Governmental activity long-term liabilities	<u>\$ 4,376,188</u>	<u>\$2,874,070</u>	<u>\$ 170,317</u>	<u>\$ 7,079,941</u>	<u>\$ 419,726</u>
<i>Business-type activities:</i>					
<u>Water and Sewer Fund</u>					
General obligation bonds	\$ -	\$ -	\$ -	\$ -	\$ -
Direct notes payable	686,251	-	686,251	-	-
Net pension liability (LGERS)	927,019	-	927,019	-	-
Compensated absences	57,433	-	57,433	-	-
Total OPEB liability	372,158	-	372,158	-	-
Water and Sewer Fund long-term liabilities	<u>\$ 2,042,861</u>	<u>\$ -</u>	<u>\$2,042,861</u>	<u>\$ -</u>	<u>\$ -</u>
 Business activity long-term liabilities	 <u>\$ 2,042,861</u>	 <u>\$ -</u>	 <u>\$2,042,861</u>	 <u>\$ -</u>	 <u>\$ -</u>

The ABC Board had no long-term debt at June 30, 2025.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

d. Interfund Balances and Activity

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts providing matching funds for various grant programs. Transfers between funds during the year ended June 30, 2025 were:

From Town Hall Project to General Fund to close out the project	<u>\$ 814,358</u>
From General Fund to :	
NC DOT Project Fund to fund the project	\$ 358,954
Oakwood Drive Flooding Project Fund to fund the project	851,000
Sidewalks and Greenways Project Fund to fund the project	80,160
Affordable Housing Project Fund to fund the project	119,022
Park and Recreation Project Fund to fund the project	<u>20,000</u>
	<u>\$ 1,429,136</u>

e. Net Investment in Capital Assets

Governmental activities:

Total capital assets	\$ 12,595,381
Less: Notes payable	<u>(716,000)</u>
	<u>\$ 11,879,381</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

II. Detail Notes on All Funds (Continued)

f. Fund Balance

The following schedule provides management and citizens with information on the portion of General Fund balance that is available for appropriation:

Total fund balance-General Fund	\$ 7,217,577
Less:	
Non spendable – prepaid items	25,914
Stabilization by State Statute	2,220,743
Streets-Powell Bill	72,610
Public Safety	-
General Government	-
Appropriated Fund Balance in 2026 budget	-
Remaining Fund Balance	\$ 4,898,310

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end. The Town had no encumbrances at June 30, 2025.

III. Jointly Governed Organization

The Town, in conjunction with various counties and other municipalities, established the Central Pines Regional Council (the “Council”). The participating governments established the Council to coordinate various funding received from federal and State agencies. Each participating government appoints one member of the Council’s governing board. The Town paid membership fees of \$2,187 to the Council during the year ended June 30, 2025.

IV. Summary Disclosure of Significant Contingencies

Federal and State Assisted Programs

The Town has received proceeds from several federal and State grants. Periodic audits of these grants are required and certain costs may be questioned as not being appropriate expenditures under the grant agreements. Such audits could result in the refund of grant monies to the grantor agencies. Management believes that any required refunds will be immaterial. No provision has been made in the accompanying financial statements for the refund of grant monies.

V. Transfer of Operations

Under an agreement with the Town of Sanford, the Town of Pittsboro transferred its water and sewer fund operations to Sanford. Upon execution of the agreement, Sanford will operate, own and maintain the water and sewer systems within Pittsboro’s town limits moving forward. The agreement was completed and effective July 1, 2024. The Town recognized all revenues and expenses associated with operation of the water and sewer fund up to that date on that date transferred the following to Sanford.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2025

V. Transfer of Operations (Continued)

Under an agreement with the City of Sanford, North Carolina, the Town transferred its water and sewer operation the City. This agreement was completed and effective July 1, 2024. Details on the balances transferred are as follows:

Transferred assets (net carrying values)

Cash	\$ 2,411,375
Accounts receivable	971,247
Sales tax receivable	71,506
Deferred pension outflows	623,134
Land and buildings	173,882
Equipment and vehicles	1,070,029
Water and sewer systems	20,784,719
Construction in progress	<u>4,655,872</u>

Total assets	<u><u>\$ 30,761,764</u></u>
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Transferred liabilities (net carrying values)

Accounts payable and accrued expenses	<u>\$ 593,111</u>
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Total liabilities	<u><u>\$ 593,111</u></u>
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VI. Significant Effects of Subsequent Events

Subsequent events have been evaluated December 1, 2025, the date which the financial statements were available to be issued.

REQUIRED SUPPLEMENTAL FINANCIAL DATA

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Proportionate Share of Net Pension Liability (Asset)
Required Supplementary Information
Last Ten Fiscal Years*

Schedule 1

Local Government Employees' Retirement System

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
Pittsboro's proportion of the net pension liability (asset) (%)	0.0460%	0.0420%	0.0412%	0.0378%	0.0393%
Pittsboro's proportion of the net pension liability (asset) (\$)	\$ 3,085,302	\$ 2,780,173	\$ 2,322,012	\$ 579,699	\$ 1,404,714
Pittsboro's covered-employee payroll	\$ 4,050,446	\$ 3,520,090	\$ 2,875,936	\$ 2,432,825	\$ 2,544,219
Pittsboro's proportionate share of the net pension liability (asset) as a percentage of its covered payroll	76.17%	78.98%	80.74%	23.83%	55.21%
Plan fiduciary net position as a percentage of the total pension liability **	83.30%	82.49%	84.14%	95.51%	91.63%
	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>
Pittsboro's proportion of the net pension liability (asset) (%)	0.0385%	0.0356%	0.0377%	0.0366%	0.0348%
Pittsboro's proportion of the net pension liability (asset) (\$)	\$ 1,050,859	\$ 845,028	\$ 575,798	\$ 776,774	\$ 156,359
Pittsboro's covered-employee payroll	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243	\$ 1,893,809
Pittsboro's proportionate share of the net pension liability (asset) as a percentage of its covered payroll	43.64%	39.00%	26.47%	38.26%	8.26%
Plan fiduciary net position as a percentage of the total pension liability **	94.18%	91.47%	98.09%	99.07%	102.64%

* The amount presented for each fiscal year were determined as of the prior fiscal year ending June 30.

** This will be the same percentage for all participant employers in the LGERS plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Contributions
Required Supplementary Information
Last Ten Fiscal Years

Schedule 2

Local Government Employees' Retirement System

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
Contractually required contribution	\$ 521,704	\$ 534,010	\$ 436,439	\$ 332,866	\$ 252,674
Contributions in relation to the contractually required contribution	<u>521,704</u>	<u>534,010</u>	<u>436,439</u>	<u>332,866</u>	<u>252,674</u>
Contribution deficiency (excess)	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>
Pittsboro's covered-employee payroll	\$ 3,700,365	\$ 4,050,446	\$ 3,520,090	\$ 2,875,936	\$ 2,432,825
Contribution as a percentage of covered-employee payroll	14.10%	13.18%	12.40%	11.57%	10.39%
	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>
Contractually required contribution	\$ 234,163	\$ 194,221	\$ 155,389	\$ 151,018	\$ 138,781
Contributions in relation to the contractually required contribution	<u>234,163</u>	<u>194,221</u>	<u>155,389</u>	<u>151,018</u>	<u>138,781</u>
Contribution deficiency (excess)	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>
Pittsboro's covered-employee payroll	\$ 2,544,219	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243
Contribution as a percentage of covered-employee payroll	9.20%	8.07%	7.17%	6.94%	6.84%

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in Total Pension Liability
Law Enforcement Officer's Special Separation Allowance
June 30, 2025

Schedule 3

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
Beginning balance	\$ 800,167	\$ 577,496	\$ 667,951	\$ 675,832	\$ 475,678
Service cost	32,327	26,159	29,205	31,052	23,108
Interest on the total pension liability	31,163	23,981	14,554	12,637	14,906
Changes of benefit terms	-	-	-	-	-
Differences between expected and actual experience in the measurement of the total pension liability	57,697	197,079	14,053	9,160	26,270
Changes of assumptions or other inputs	(18,809)	17,626	(106,093)	(18,556)	172,763
Benefit payments	(42,174)	(42,174)	(42,174)	(42,174)	(36,893)
Other changes	-	-	-	-	-
Ending balance of the total pension liability	<u>\$ 860,371</u>	<u>\$ 800,167</u>	<u>\$ 577,496</u>	<u>\$ 667,951</u>	<u>\$ 675,832</u>

	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>
Beginning balance	\$ 490,157	\$ 493,116	\$ 439,178	\$ 441,964
Service cost	20,355	20,931	16,024	18,353
Interest on the total pension liability	17,541	15,321	16,633	15,302
Changes of benefit terms	-	-	-	-
Differences between expected and actual experience in the measurement of the total pension liability	(49,873)	(4,101)	10,929	-
Changes of assumptions or other inputs	14,031	(18,577)	26,885	(9,767)
Benefit payments	(16,533)	(16,533)	(16,533)	(26,674)
Other changes	-	-	-	-
Ending balance of the total pension liability	<u>\$ 475,678</u>	<u>\$ 490,157</u>	<u>\$ 493,116</u>	<u>\$ 439,178</u>

The amounts presented for each fiscal year were determined as of the prior fiscal year ending December 31.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Total Pension Liability as a Percentage of Covered Payroll
Law Enforcement Officer's Special Separation Allowance
June 30, 2025

Schedule 4

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
Total pension liability	\$ 860,371	\$ 800,167	\$ 577,496	\$ 667,951	\$ 675,832
Covered payroll	1,049,721	866,176	713,099	707,775	798,544
Total pension liability as a percentage of covered payroll	81.96%	92.38%	80.98%	94.37%	84.63%
	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	
Total pension liability	\$ 475,678	\$ 490,157	\$ 493,116	\$ 439,178	
Covered payroll	695,133	619,020	581,502	648,714	
Total pension liability as a percentage of covered payroll	68.43%	79.18%	84.80%	67.70%	

Notes to the schedules:

The Town of Pittsboro has no assets accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 73 to pay related benefits.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in the Total OPEB Liability and Related Ratios
June 30, 2025

Schedule 5

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
Total OPEB Liability					
Service cost	\$ 77,959	\$ 77,340	\$ 98,508	\$ 99,387	\$ 108,840
Interest	42,379	38,330	25,576	24,018	47,861
Changes of benefit terms	-	-	-	-	-
Differences between expected and actual experience	(66,112)	3,255	(6,540)	(3,261)	(547,412)
Changes of assumptions	2,485	(16,182)	(159,341)	13,917	143,437
Benefit payments	(16,344)	(33,669)	(43,092)	(28,728)	(19,152)
Net change in total OPEB liability	<u>40,367</u>	<u>69,074</u>	<u>(84,889)</u>	<u>105,333</u>	<u>(266,426)</u>
Total OPEB liability - beginning	<u>1,091,203</u>	<u>1,022,129</u>	<u>1,107,018</u>	<u>1,001,685</u>	<u>1,268,111</u>
Total OPEB liability - ending	<u><u>\$ 1,131,570</u></u>	<u><u>\$ 1,091,203</u></u>	<u><u>\$ 1,022,129</u></u>	<u><u>\$ 1,107,018</u></u>	<u><u>\$ 1,001,685</u></u>
 Covered payroll	 3,656,363	 2,859,523	 2,859,523	 2,033,411	 2,033,411
Total OPEB liability as a percentage of covered payroll	 30.95%	 38.16%	 35.74%	 54.44%	 49.26%
	<u>2020</u>	<u>2019</u>	<u>2018</u>		
Total OPEB Liability					
Service cost	\$ 100,775	\$ 80,451	\$ 86,762		
Interest	42,115	35,111	28,681		
Changes of benefit terms	-	-	-		
Differences between expected and actual experience	(6,822)	(19,811)	(2,609)		
Changes of assumptions	56,191	14,053	(66,757)		
Benefit payments	(13,440)	(13,440)	(11,946)		
Net change in total OPEB liability	<u>178,819</u>	<u>96,364</u>	<u>34,131</u>		
Total OPEB liability - beginning	<u>1,089,292</u>	<u>992,928</u>	<u>958,797</u>		
Total OPEB liability - ending	<u><u>\$ 1,268,111</u></u>	<u><u>\$ 1,089,292</u></u>	<u><u>\$ 992,928</u></u>		
 Covered payroll	 2,060,483	 2,060,483	 1,966,195		
Total OPEB liability as a percentage of covered payroll	 61.54%	 52.87%	 50.50%		

Notes to Schedule

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate of each period. The following are the discount rates used in each period:

<u>Fiscal year</u>	<u>Rate</u>
2025	3.93%
2024	3.65%
2023	3.54%
2022	2.16%
2021	2.21%
2020	3.50%
2019	3.89%
2018	3.56%

INDIVIDUAL FUND STATEMENTS AND SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual
For the Year Ended June 30, 2025

	Budget	Actual	Variance Positive (Negative)
Revenues			
Ad valorem taxes:			
Taxes - current year	\$ 5,568,000	\$ 5,571,258	\$ 3,258
Taxes - prior years	10,000	6,261	(3,739)
Interest and penalties	8,000	14,826	6,826
Total	5,586,000	5,592,345	6,345
Other taxes and licenses:			
Local option sales tax	1,725,000	1,757,010	32,010
Hold harmless tax	475,000	511,764	36,764
Utilities / cable franchise taxes	225,000	354,738	129,738
Telecommunications tax	13,000	12,239	(761)
Video sales tax	22,000	23,166	1,166
Other taxes and licenses	156,800	173,454	16,654
Total	2,616,800	2,832,371	215,571
Unrestricted intergovernmental:			
ABC Board profit distribution	100,000	157,016	57,016
Total	100,000	157,016	57,016
Restricted intergovernmental:			
State street aid - Powell Bill	195,344	195,344	-
Other	31,000	32,270	1,270
Total	226,344	227,614	1,270
Permits and fees:			
Zoning fees	89,000	136,249	47,249
Other fees	20,000	83,015	63,015
Off-duty police officer fees	500	837	337
Total	109,500	220,101	110,601
Sales and services:			
Solid waste revenues	584,415	504,883	(79,532)
Recreation	10,000	5,826	(4,174)
Facilities rental	15,000	12,800	(2,200)
Other	167,500	1,568,045	1,400,545
Total	776,915	2,091,554	1,314,639
Investment earnings	145,000	182,063	37,063
Miscellaneous	499,000	401,756	(97,244)
Total revenues	10,059,559	11,704,820	1,645,261

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual

For the Year Ended June 30, 2025

(Continued)

	Budget	Actual	Positive (Negative)
Expenditures			
General government:			
Governing body:			
Salaries and employee benefits	\$ 73,718	\$ 74,100	\$ (382)
Payroll taxes	3,317	4,637	(1,320)
Travel and training	7,500	2,492	5,008
Postage	50	-	50
Advertising	50	210	(160)
Departmental supplies	2,000	1,996	4
Contracted services	80,000	78,949	1,051
Economic development	8,500	8,582	(82)
Dues and subscriptions	12,835	10,509	2,326
Insurance and bonds	1,500	3,013	(1,513)
Total	189,470	184,488	4,982
Administration:			
Salaries and employee benefits	1,197,968	1,182,075	15,893
Payroll taxes	71,491	65,655	5,836
Employee appreciation	5,000	6,192	(1,192)
Telephone	11,520	10,744	776
Travel and training	19,000	11,819	7,181
Maintenance - equipment	1,775	597	1,178
Postage	650	619	31
Advertising	1,000	125	875
Supplies	17,300	13,704	3,596
Dues and subscriptions	10,100	15,406	(5,306)
Insurance and bonds	8,934	7,551	1,383
Tax billing and collection	21,000	22,023	(1,023)
Contracted services	213,600	170,671	42,929
Capital outlay - equipment	386,919	387,318	(399)
Total	1,966,257	1,894,499	71,758
Legal:			
Dues and subscriptions	250	75.00	175
Travel and training	750	350	400
Professional services	101,000	100,505	495
Total	102,000	100,930	1,070

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual

For the Year Ended June 30, 2025

(Continued)

	Budget	Actual	Positive (Negative)
Planning:			
Salaries and employee benefits	\$ 541,110	\$ 472,624	\$ 68,486
Payroll taxes	32,000	28,232	3,768
Travel and training	14,950	6,621	8,329
Telephone	3,880	3,077	803
Postage	750	447	303
Advertising	3,500	1,130	2,370
Departmental supplies	12,000	20,808	(8,808)
Dues and subscriptions	5,820	4,221	1,599
Contracted services	78,466	75,035	3,431
Insurance and bonds	5,300	7,228	(1,928)
Capital outlay	0	2,709	(2,709)
Total	697,776	622,132	75,644
Public buildings (Engineering):			
Salaries and employee benefits	547,540	515,598	31,942
Payroll taxes	33,975	30,248	3,727
Telephone	3,968	5,037	(1,069)
Travel and training	4,400	2,891	1,509
Advertising	210	-	210
Postage	1,273	447	826
Vehicle repairs	3,150	1,568	1,582
Departmental supplies	11,400	8,203	3,197
Dues and subscriptions	2,500	1,663	837
Contracted services	87,820	19,647	68,173
Miscellaneous	2,500	2,204	296
Insurance	5,350	8,441	(3,091)
Total	704,086	598,697	105,389
Total general government	3,659,589	3,400,746	258,843

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual

For the Year Ended June 30, 2025

(Continued)

	Budget	Actual	Positive (Negative)
Public safety:			
Police:			
Salaries and employee benefits	\$ 1,758,190	\$ 1,685,148	\$ 73,042
Payroll taxes	112,890	99,177	13,713
Separation benefit	42,174	42,266	(92)
Telephone	18,645	17,944	701
Postage	500	447	53
Travel and training	19,130	18,190	940
Maintenance - equipment	5,500	5,931	(431)
Vehicle repairs	27,700	26,019	1,681
Automotive supplies	45,000	34,222	10,778
Departmental supplies	31,250	26,646	4,604
Advertising	500	105.00	395
Contracted services	56,306	38,785	17,521
Uniforms and accessories	22,200	24,060	(1,860)
Dues and subscriptions	5,965	5,117	848
Insurance and bonds	54,500	67,720	(13,220)
Investigations	5,000	4,482	518
Community policing support	7,250	7,094	156
Capital outlay - equipment	395,471	357,336	38,135
Total	<u>2,608,171</u>	<u>2,460,689</u>	<u>147,482</u>
Fire:			
Pittsboro Volunteer Fire and Rescue			
Department - contribution	<u>1,747,064</u>	<u>1,747,064</u>	<u>-</u>
Total	<u>1,747,064</u>	<u>1,747,064</u>	<u>-</u>
Total public safety	<u>4,355,235</u>	<u>4,207,753</u>	<u>147,482</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual

For the Year Ended June 30, 2025

(Continued)

	Budget	Actual	Positive (Negative)
Transportation:			
Streets and maintenance:			
Salaries and employee benefits	\$ 499,329	\$ 499,470	\$ (141)
Payroll taxes	26,911	28,369	(1,458)
Advertising	1,000	-	1,000
Travel and training	4,500	1,246	3,254
Telephone and postage	4,600	4,640	(40)
Utilities	156,000	148,140	7,860
Maintenance - equipment	16,500	18,492	(1,992)
Vehicle repairs	15,200	19,154	(3,954)
Automotive supplies	35,000	25,647	9,353
Maintenance and repairs - building	7,000	5,991	1,009
Departmental supplies	100,300	73,489	26,811
Contracted services	204,402	204,823	(421)
Dues and subscriptions	800	-	800
Insurance and bonds	17,800	20,051	(2,251)
Powell bill	195,344	170,727	24,617
Capital outlay - equipment	322,000	322,480	(480)
Total	1,616,686	1,553,379	63,307
Public Works:			
Utilities	15,000	13,633	1,367
Maintenance and repairs - building	32,999	29,636	3,363
Maintenance - equipment	4,000	-	4,000
Contracted services	15,000	3,315	11,685
Insurance and bonds	3,000	3,819	(819)
Departmental supplies	2,500	375	2,125
Office lease	21,200	20,030	1,170
Total	93,699	70,808	22,891
Total transportation	1,710,385	1,624,187	86,198
Environmental protection:			
Sanitation	584,415	513,034	71,381
Total	584,415	513,034	71,381

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual

For the Year Ended June 30, 2025

(Continued)

	Budget	Actual	Positive (Negative)
Cultural and recreational:			
Recreation:			
Salaries and employee benefits	\$ 518,481	\$ 513,306	\$ 5,175
Payroll taxes	28,237	28,961	(724)
Travel and training	10,300	7,206	3,094
Contracted services	194,873	185,912	8,961
Telephone and postage	9,730	6,868	2,862
Utilities	13,000	21,992	(8,992)
Departmental supplies	20,100	21,223	(1,123)
Real and personal property	2,500	2,701	(201)
Building and grounds maintenance	168,000	152,817	15,183
Advertising	500	90	410
Automotive maintenance and repair	4,750	4,571	179
Events and programming	14,100	9,221	4,879
Insurance and bonds	6,500	11,753	(5,253)
Dues and subscriptions	8,080	7,361	719
Total	999,151	973,982	25,169
Main street/downtown:			
Main Street façade/downtown improvements	234,680	161,828	72,852
Total	234,680	161,828	72,852
Debt service:			
Principal	176,300	170,317	5,983
Interest	-	-	-
Total	176,300	170,317	5,983
Total expenditures	11,719,755	11,051,847	667,908
Revenues over (under) expenditures	(1,660,196)	652,973	2,313,169
Other financing sources (uses):			
Transfers (to) from other funds:	(614,778)	(614,778)	-
Lease interest	(33,500)	(39,483)	(5,983)
Proceeds from loan	1,072,919	1,072,919	-
Total	424,641	418,658	(5,983)
Fund balance appropriated	1,235,555	-	1,235,555
Net change in fund balance	\$ -	1,071,631	\$ 1,071,631
Fund balance, beginning		6,145,946	
Fund balance, ending		\$ 7,217,577	

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Balance Sheet
Non-Major Governmental Funds
June 30, 2025

Schedule 7

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Sidewalks and Greenways Project	Building and Grounds Project	Affordable Housing Project	Police Station Project	Oakwood Drive Flooding Project	NC DOT Project	Total Nonmajor Governmental Funds
ASSETS												
Cash and cash equivalents	\$ 7,420	\$ -	\$ 35,960	\$ -	\$ 620,064	\$ 456,525	\$ 763,951	\$ 771,090	\$ -	\$ -	\$ 358,954	\$ 3,013,964
Due from other governments	-	-	-	-	-	-	-	-	-	-	-	-
Total assets	<u>\$ 7,420</u>	<u>\$ -</u>	<u>\$ 35,960</u>	<u>\$ -</u>	<u>\$ 620,064</u>	<u>\$ 456,525</u>	<u>\$ 763,951</u>	<u>\$ 771,090</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 358,954</u>	<u>\$ 3,013,964</u>
LIABILITIES												
Accounts payable	\$ -	\$ -	\$ -	\$ -	\$ 232	\$ 36,095	\$ 305	\$ -	\$ -	\$ 21,866	\$ -	\$ 58,498
Due to other funds	-	-	-	-	-	-	-	-	-	-	-	-
Total liabilities	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 232</u>	<u>\$ 36,095</u>	<u>\$ 305</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 21,866</u>	<u>\$ -</u>	<u>\$ 58,498</u>
FUND BALANCES												
Designated for specific purposes	7,420	-	35,960	-	619,832	420,430	763,646	771,090	-	(21,866)	358,954	2,955,466
Total liabilities and fund balances	<u>\$ 7,420</u>	<u>\$ -</u>	<u>\$ 35,960</u>	<u>\$ -</u>	<u>\$ 620,064</u>	<u>\$ 456,525</u>	<u>\$ 763,951</u>	<u>\$ 771,090</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 358,954</u>	<u>\$ 3,013,964</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Non-Major Governmental Funds
For the Year Ended June 30, 2025

Schedule 8

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Sidewalks and Greenways Project	Building and Grounds Project	Affordable Housing Project	Police Station Project	Oakwood Drive Flooding Project	NC DOT Project	Total Nonmajor Governmental Funds
REVENUES												
Restricted intergovernmental	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 172,746	\$ -	\$ -	\$ -	\$ -	\$ 1,250,000	\$ 1,422,746
Miscellaneous	-	-	-	-	4,173	-	-	394,000	-	-	107,040	505,213
Investment earnings	148	-	-	-	-	-	-	-	-	-	-	148
Total revenues	148	-	-	-	4,173	172,746	-	394,000	-	-	1,357,040	1,928,107
EXPENDITURES												
Economic and physical development	-	-	-	-	-	-	137,354	-	-	71,866	-	209,220
Transportation	-	-	-	-	-	-	-	-	-	-	1,357,040	1,357,040
Cultural and recreation	-	-	-	-	383,980	198,628	-	-	-	-	-	582,608
Total expenditures	-	-	-	-	383,980	198,628	137,354	-	-	71,866	1,357,040	2,148,868
Excess (deficiency) of revenues over expenditures	148	-	-	-	(379,807)	(25,882)	(137,354)	394,000	-	(71,866)	-	(220,761)
OTHER FINANCING SOURCES (USES)												
Transfers from other funds												
General Fund	-	-	-	-	20,000	80,160	851,000	119,022	-	-	358,954	1,429,136
Transfers to other funds:												
General Fund	-	(814,358)	-	-	-	-	-	-	-	-	-	(814,358)
Net change in fund balance	148	(814,358)	-	-	(359,807)	54,278	713,646	513,022	-	(71,866)	358,954	394,017
Fund balances, beginning	7,272	814,358	35,960	-	979,639	366,152	50,000	258,068	-	50,000	-	2,561,449
Fund balances, ending	\$ 7,420	\$ -	\$ 35,960	\$ -	\$ 619,832	\$ 420,430	\$ 763,646	\$ 771,090	\$ -	\$ (21,866)	\$ 358,954	\$ 2,955,466

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 9

Capital Projects Fund

**Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
For the Year Ended June 30, 2025**

	Final Budget	Actual	Variance Positive (Negative)
Revenues			
Investment earnings	\$ 100	\$ 148	\$ 48
Total revenues	100	148	48
Other Financing Sources (Uses)			
Transfer to General Fund	-	-	-
Fund balance appropriated	(100)	-	100
Net change in fund balance	\$ -	148	\$ 148
Fund balance, beginning		7,272	
Fund balance, ending		\$ 7,420	

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Town Hall Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 10

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 3,087,835	\$ 3,087,835	\$ -	\$ 3,087,835	\$ -
Total revenues	3,087,835	3,087,835	-	3,087,835	-
Expenditures					
Land purchase	900,000	900,000	-	900,000	-
Site assessments	61,450	20,930	-	20,930	40,520
Closing costs	8,830	10,935	-	10,935	(2,105)
Design services	1,667,530	1,154,693	-	1,154,693	512,837
Demolition	157,707	157,706	-	157,706	1
LEED services	63,400	-	-	-	63,400
Water and Sewer design services	33,300	-	-	-	33,300
Solar PV analysis	2,900	-	-	-	2,900
USDA Application services	17,000	8,230	-	8,230	8,770
Contingency	175,718	20,983	-	20,983	154,735
Total expenditures	3,087,835	2,273,477	-	2,273,477	814,358
Revenues over (under) expenditures	-	814,358	-	814,358	814,358
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	(814,358)	(814,358)	(814,358)
Total other financing sources (uses)	-	-	(814,358)	(814,358)	(814,358)
Net change in fund balance	\$ -	\$ 814,358	(814,358)	\$ -	\$ -
Fund balance, beginning			814,358		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – PESR Culvert Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 11

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 147,318	\$ 147,318	\$ -	\$ 147,318	\$ -
Total revenues	147,318	147,318	-	147,318	-
Expenditures					
Survey and design services	147,318	111,358	-	111,358	35,960
Total expenditures	147,318	111,358	-	111,358	35,960
Revenues over (under) expenditures	-	35,960	-	35,960	35,960
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 35,960</u>	-	<u>\$ 35,960</u>	<u>\$ 35,960</u>
Fund balance, beginning			<u>35,960</u>		
Fund balance, ending			<u>\$ 35,960</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Traffic Circle Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 12

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 221,148	\$ 273,700	\$ -	\$ 273,700	\$ 52,552
Total revenues	221,148	273,700	-	273,700	52,552
Expenditures					
Waterman upsizing	95,038	86,570	-	86,570	8,468
Safety handrails	13,110	5,847	-	5,847	7,263
Utility Relocation	93,000	122,214	-	122,214	(29,214)
Utility burial	20,000	7,247	-	7,247	12,753
Total expenditures	221,148	221,878	-	221,878	(730)
Revenues over (under) expenditures	-	51,822	-	51,822	51,822
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	(23,838)	-	(23,838)	(23,838)
Water and Sewer Fund	-	(27,984)	-	(27,984)	(27,984)
Total other financing sources (uses)	-	(51,822)	-	(51,822)	(51,822)
Net change in fund balance	\$ -	\$ -	-	\$ -	\$ -
Fund balance, beginning			-		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Parks and Recreation Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 13

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Donations	\$ 100,000	\$ 100,000	\$ 4,173	\$ 104,173	\$ 4,173
Total revenues	100,000	100,000	4,173	104,173	4,173
Expenditures					
Mary Hayes Barber Holmes	199,574	69,389	130,185	199,574	-
Kiwanis Park	19,390	-	-	-	19,390
Lewis Freeman Park	150,000	-	6,000	6,000	144,000
Playground improvements	200,000	-	-	-	200,000
Tennis courts	268,000	266,750	-	266,750	1,250
Community House	500,000	377,971	104,932	482,903	17,097
Rock Ridge Park Playground	353,000	277,985	71,553	349,538	3,462
McClennahan Basketball Court	168,000	168,000	-	168,000	-
Skate Park	45,000	-	50,768	50,768	(5,768)
Park improvements	191,000	13,856	20,542	34,398	156,602
Total expenditures	2,093,964	1,173,951	383,980	1,557,931	536,033
Revenues over (under) expenditures	(1,993,964)	(1,073,951)	(379,807)	(1,453,758)	540,206
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	1,993,964	2,053,590	20,000	2,073,590	79,626
Total other financing sources (uses)	1,993,964	2,053,590	20,000	2,073,590	79,626
Net change in fund balance	\$ -	\$ 979,639	(359,807)	\$ 619,832	\$ 619,832
Fund balance, beginning			979,639		
Fund balance, ending			\$ 619,832		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Sidewalks and Greenways Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 14

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues					
NCDOT proceeds	\$ 1,183,505	\$ 157,401	\$ 172,746	\$ 330,147	\$ (853,358)
Grant revenue	14,000	14,000	-	14,000	-
Total revenues	1,197,505	171,401	172,746	344,147	(853,358)
Expenditures					
Robeson Creek	62,351	48,351	-	48,351	14,000
NCDOT TAP	20,000	-	-	-	20,000
Reserve for future improvements	15,000	-	-	-	15,000
Town Lake Park	632,500	-	-	-	632,500
Salisbury Sheet Sidewalk	400,800	-	-	-	400,800
Tarpo sidewalk	590,365	260,249	198,628	458,877	131,488
Total expenditures	1,721,016	308,600	198,628	507,228	1,213,788
Revenues over (under) expenditures	(523,511)	(137,199)	(25,882)	(163,081)	360,430
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	(60,000)	-	-	-	60,000
General Fund	583,511	503,351	80,160	583,511	-
Total other financing sources (uses)	523,511	503,351	80,160	583,511	60,000
Net change in fund balance	\$ -	\$ 366,152	54,278	\$ 420,430	\$ 420,430
Fund balance, beginning			366,152		
Fund balance, ending			\$ 420,430		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Affordable Housing Project Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 15

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Affordable housing fee	\$ -	\$ -	\$ 394,000	\$ 394,000	\$ 394,000
Total revenues	-	-	394,000	394,000	394,000
Expenditures					
Reserve for future improvements	258,068	-	-	-	258,068
Total expenditures	258,068	-	-	-	258,068
Revenues over (under) expenditures	(258,068)	-	394,000	394,000	652,068
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	258,068	258,068	119,022	377,090	119,022
Total other financing sources (uses)	258,068	258,068	119,022	377,090	119,022
Net change in fund balance	\$ -	\$ 258,068	513,022	\$ 771,090	\$ 771,090
Fund balance, beginning			258,068		
Fund balance, ending			\$ 771,090		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Buildings and Grounds Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 16

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues					
Donations	\$ 75,000	\$ -	\$ -	\$ -	\$ (75,000)
Total revenues	75,000	-	-	-	(75,000)
Expenditures					
Public Works Building	726,000	-	57,520	57,520	668,480
Facilities improvements	200,000	-	29,834	29,834	170,166
Building study	50,000	-	50,000	50,000	-
Total expenditures	976,000	-	137,354	137,354	838,646
Revenues over (under) expenditures	(901,000)	-	(137,354)	(137,354)	763,646
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	901,000	50,000	851,000	901,000	-
Total other financing sources (uses)	901,000	50,000	851,000	901,000	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 50,000</u>	713,646	<u>\$ 763,646</u>	<u>\$ 763,646</u>
Fund balance, beginning			<u>50,000</u>		
Fund balance, ending			<u>\$ 763,646</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Police Station Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 17

	Project	Actual		Variance
	Authorization	Prior	Current	Positive
		Years	Year	(Negative)
			Total to	
			Date	
Revenues				
Donations	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-
Expenditures				
Building Study	-	-	-	-
Total expenditures	-	-	-	-
Revenues over (under) expenditures	-	-	-	-
Other Financing Sources (Uses)				
Transfers in (out)				
General Fund	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	-	<u>\$ -</u>
Fund balance, beginning			-	
Fund balance, ending			<u>\$ -</u>	

TOWN OF PITTSBORO, NORTH CAROLINA**Schedule 18**
Capital Projects Fund – Oakwood Drive Flooding Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 50,000	\$ 50,000	\$ -	\$ 50,000	\$ -
DRMG Grant	200,000	-	-	-	(200,000)
Total revenues	250,000	50,000	-	50,000	(200,000)
Expenditures					
Engineering design and permitting	25,000	-	71,866	71,866	(46,866)
Construction	150,000	-	-	-	150,000
Other items	50,000	-	-	-	50,000
Contingency	25,000	-	-	-	25,000
Total expenditures	250,000	-	71,866	71,866	178,134
Revenues over (under) expenditures	-	50,000	(71,866)	(21,866)	(21,866)
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 50,000</u>	(71,866)	<u>\$ (21,866)</u>	<u>\$ (21,866)</u>
Fund balance, beginning			50,000		
Fund balance, ending			<u>\$ (21,866)</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – NC DOT Project
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 19

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
NC DOT reimbursement	\$ 1,250,000	\$ -	\$ 1,250,000	\$ 1,250,000	\$ -
Chatham Park reimbursement	1,250,000	-	107,040	107,040	(1,142,960)
RDED grant	850,000	-	-	-	(850,000)
Total revenues	3,350,000	-	1,357,040	1,357,040	(1,992,960)
Expenditures					
Chatham Park	1,250,000	-	1,250,000	1,250,000	-
NC DOT	1,408,954	-	107,040	107,040	1,301,914
Downtown streetscapes	1,050,000	-	-	-	1,050,000
Total expenditures	3,708,954	-	1,357,040	1,357,040	2,351,914
Revenues over (under) expenditures	(358,954)	-	-	-	358,954
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	358,954	-	358,954	358,954	-
Appropriated fund balance	-	-	-	-	-
Total other financing sources (uses)	358,954	-	358,954	358,954	-
Net change in fund balance	\$ -	\$ -	358,954	\$ 358,954	\$ 358,954
Fund balance, beginning			-		
Fund balance, ending			\$ 358,954		

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TOWN OF PITTSBORO, NORTH CAROLINA
Water and Sewer Fund
Schedule of Revenues and Expenditures
Budget and Actual (Non-GAAP)
For the Year Ended June 30, 2025

Schedule 20

	<u>Budget</u>	<u>Actual</u>	Variance Positive (Negative)
Revenues over (under) expenditures	\$ -	\$ -	\$ -
Other financing sources (uses):			
Bad debt expense	-	(217,018)	(217,018)
Transfer to other funds	-	(479,328)	(479,328)
Transfers from other funds	-	479,328	479,328
Transfers to City of Sanford	-	(16,473,489)	(16,473,489)
Total	<u>-</u>	<u>(16,690,507)</u>	<u>(16,690,507)</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	(16,690,507)	<u>\$ (16,690,507)</u>
Reconciliation from budgetary basis (modified accrual)			
to full accrual:			
Revenues and other sources under expenditures and other uses		<u>\$ (16,690,507)</u>	
Reconciling items:			
Water and Sewer Fund capital project fund transfers		<u>(6,313,624)</u>	
Total reconciling items		<u>(6,313,624)</u>	
Change in net position		<u>\$ (23,004,131)</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Hearne Road Project 2024
Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 21

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 722,350	\$ 732,350	\$ -	\$ 732,350	\$ 10,000
Total revenues	722,350	732,350	-	732,350	10,000
Expenditures					
Construction	624,150	-	-	-	624,150
Contingency	60,000	-	-	-	60,000
Survey	17,900	17,900	-	17,900	-
Design	14,200	14,200	-	14,200	-
Bid administration	6,100	6,100	-	6,100.00	-
Total expenditures	722,350	38,200	-	38,200	684,150
Revenues over (under) expenditures	-	694,150	-	694,150	694,150
Other Financing Sources (Uses)					
Transfers in (out)					
Operations to Sanford	-	-	(694,150)	(694,150)	(694,150)
Total other financing sources (uses)	-	-	(694,150)	(694,150)	(694,150)
Net change in fund balance	\$ -	\$ 694,150	(694,150)	\$ -	\$ -
Fund balance, beginning as restated			694,150		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Water and Sewer System Development Reserve Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended June 30, 2025

Schedule 22

	Budget	Actual	Variance Positive (Negative)
Revenues			
Investment earnings	\$ -	\$ -	\$ -
Water SDF charges	-	-	-
Waste water SDF charges	-	-	-
	<u>-</u>	<u>-</u>	<u>-</u>
Total revenues	<u>-</u>	<u>-</u>	<u>-</u>
Expenditures			
Water / Waste Water improvements	-	-	-
Total expenditures	-	-	-
Other financing sources (uses)			
Operations to Sanford	-	3,296,485	3,296,485
Total other sources	<u>-</u>	<u>3,296,485</u>	<u>3,296,485</u>
Fund balance appropriated	<u>-</u>	<u>-</u>	<u>-</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	(3,296,485)	<u>\$ 3,296,485</u>
Fund balance, beginning		<u>3,296,485</u>	
Fund balance, ending		<u>\$ -</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Sanford Forcemain Project
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 23

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues:					
Town contribution	\$ 1,934,721	\$ 1,934,721	\$ -	\$ 1,934,721	\$ -
Total revenues	1,934,721	1,934,721	-	1,934,721	-
Expenditures:					
Surveying/design & permitting	1,278,000	1,286,379	-	1,286,379	(8,379)
Bidding and negotiating	5,500	7,149	-	7,149	(1,649)
Construction contract admin	130,000	-	-	-	130,000
Construction observation	247,100	-	-	-	247,100
Geotechnical investigation	38,500	36,850	-	36,850	1,650
CWSRF administration	15,000	-	-	-	15,000
Application Fees	28,125	29,125	-	29,125	(1,000)
Utility easements	175,596	64,787	-	64,787	110,809
Contingency	-	52,150	-	52,150	(52,150)
As-Built survey	16,900	-	-	-	16,900
Total expenditures	1,934,721	1,476,440	-	1,476,440	458,281
Revenues over (under) expenditures	-	458,281	-	458,281	458,281
Other Financing Sources (Uses)					
Transfers in (out)					
Operations to Sanford	-	-	(581,761)	(581,761)	(581,761)
Total other financing sources (uses)	-	-	(581,761)	(581,761)	(581,761)
Net change in fund balance	\$ -	\$ 458,281	(581,761)	\$ (123,480)	\$ (123,480)
Fund balance, beginning as restated			581,761		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Water Plant Improvement Project
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 24

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ 2,000,000	\$ 1,390,666	\$ -	\$ 1,390,666	\$ (609,334)
Grant proceeds	150,000	142,500	-	142,500	(7,500)
ARP Funds from Enterprise	1,392,070	1,392,070	-	1,392,070	-
Total revenues	3,542,070	2,925,236	-	2,925,236	(616,834)
Expenditures					
Permitting/design	400,000	526,500	-	526,500	(126,500)
Materials / supplies / equipment	1,661,701	1,853,695	-	1,853,695	(191,994)
Jordan Lake partnership	35,500	13,091	-	13,091	22,409
Western intake partnership	521,705	174,752	-	174,752	346,953
GAC	2,096,035	778,180	-	778,180	1,317,855
Water filling station	25,000	19,905	-	19,905	5,095
Total expenditures	4,739,941	3,366,123	-	3,366,123	1,373,818
Revenues over (under) expenditures	(1,197,871)	(440,887)	-	(440,887)	756,984
Other Financing Sources (Uses)					
Transfers in (out)					
Operations to Sanford	1,197,871	1,111,170	(670,283)	440,887	(756,984)
Total other financing sources (uses)	1,197,871	1,111,170	(670,283)	440,887	(756,984)
Net change in fund balance	\$ -	\$ 670,283	(670,283)	\$ -	\$ -
Fund balance, beginning			670,283		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Water Extensions and Maintenance Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 25

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
PBD Moncure Water Revenue	\$ 225,000	\$ 196,856	\$ -	\$ 196,856	\$ (28,144)
DEQ grant	-	-	-	-	-
Total revenues	225,000	196,856	-	196,856	(28,144)
Expenditures					
Hydrants	117,500	41,250	-	41,250	76,250
AMR	25,000	-	-	-	25,000
Misc betterment	70,000	-	-	-	70,000
PBO Moncure water line	375,000	291,421	-	291,421	83,579
Total expenditures	587,500	332,671	-	332,671	254,829
Revenues over (under) expenditures	(362,500)	(135,815)	-	(135,815)	226,685
Other Financing Sources (Uses)					
Transfers in (out)					
Operations to Sanford	362,500	362,500	(226,685)	135,815	(226,685)
Total other financing sources (uses)	362,500	362,500	(226,685)	135,815	(226,685)
Net change in fund balance	\$ -	\$ 226,685	(226,685)	\$ -	\$ -
Fund balance, beginning			226,685		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Sewer Extensions and Maintenance Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 26

	Project	Actual			Variance
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues					
Town contribution	\$ -	\$ -	\$ -	\$ -	\$ -
ARPA grant	4,700,000	308,217	-	308,217	(4,391,783)
Total revenues	4,700,000	308,217	-	308,217	(4,391,783)
Expenditures					
Find-it fix-it sewer rehabilitation	4,450,000	155,375	-	155,375	4,294,625
Waste water master plan	302,000	152,842	-	152,842	149,158
Misc betterment	70,000	-	-	-	70,000
I&I	200,000	-	-	-	200,000
Robeson Creek	250,000	-	-	-	250,000
Total expenditures	5,272,000	308,217	-	308,217	4,963,783
Revenues over (under) expenditures	(572,000)	-	-	-	572,000
Other Financing Sources (Uses)					
Bad debt write off	-	-	(217,017)	(217,017)	(217,017)
Transfers in (out)					
Operations to Sanford	572,000	572,000	(354,983)	217,017	(354,983)
Total other financing sources (uses)	572,000	572,000	(572,000)	-	(572,000)
Net change in fund balance	\$ -	\$ 572,000	(572,000)	\$ -	\$ -
Fund balance, beginning			572,000		
Fund balance, ending			\$ -		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund – Sanford Regionalization Project Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2025

Schedule 27

	Project	Actual		Variance	
	Authorization	Prior	Current	Total to	Positive
		Years	Year	Date	(Negative)
Revenues:					
Town contribution	\$ 205,650	\$ 205,650	\$ -	\$ 205,650	\$ -
Total revenues	205,650	205,650	-	205,650	-
Expenditures					
Contracted services	\$ 205,650	\$ 195,702	-	\$ 195,702	\$ 9,948
Total expenditures	205,650	195,702	-	195,702	9,948
Revenues over (under) expenditures	-	9,948	-	9,948	9,948
Other Financing Sources (Uses)					
Transfers in (out)					
Operations to Sanford	-	-	(9,948)	(9,948)	(9,948)
Total other financing sources (uses)	-	-	(9,948)	(9,948)	(9,948)
Net change in fund balance	\$ -	\$ 9,948	(9,948)	\$ -	\$ -
Fund balance, beginning			9,948		
Fund balance, ending			\$ -		

OTHER SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Ad Valorem Taxes Receivable
June 30, 2025

Schedule 28

<u>Fiscal Year</u>	<u>Uncollected Balance June 30, 2024</u>	<u>Additions</u>	<u>Collections And Credits</u>	<u>Uncollected Balance June 30, 2025</u>
2024-2025	\$ -	\$ 5,422,710	\$ 5,412,366	\$ 10,344
2023-2024	14,963	-	14,963	-
2022-2023	5,578	-	1,502	4,076
2021-2022	2,050	-	521	1,529
2020-2021	917	-	-	917
2019-2020	796	-	220	576
2018-2019	613	-	141	472
2017-2018	665	-	(248)	913
2016-2017	883	-	24	859
2015-2016	900	-	106	794
2014-2015	756	-	756	-
2013-2014	15,840	-	-	15,840
	<u>\$ 43,961</u>	<u>\$ 5,422,710</u>	<u>\$ 5,430,351</u>	36,320
Less: allowance for uncollectible accounts:				
General Fund				<u>(25,976)</u>
Ad valorem taxes receivable - net				<u>\$ 10,344</u>
<u>Reconciliation with revenues:</u>				
Ad valorem taxes - General Fund				\$ 5,592,345
Reconciling items:				
Interest collected				(14,826)
Municipal vehicle tax				(146,460)
Other				<u>(708)</u>
Subtotal				<u>(161,994)</u>
Total collections and credits				<u>\$ 5,430,351</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Analysis of Current Tax Levy
Town-Wide Levy
For the Year Ended June 30, 2025

Schedule 29

	Town-Wide			Total Levy	
	Property Valuation	Rate	Total Levy	Property excluding Registered Motor Vehicles	Registered Motor Vehicles
Original levy:					
Property taxed at current rate	\$ 1,231,595,909	0.4400	\$ 5,419,022	\$ 4,908,926	\$ 510,096
Discoveries - current and prior years	\$ -	0.4400	-	-	-
Releases	838,182	0.4400	3,688	3,688	-
Total property valuation	<u>\$ 1,232,434,091</u>				
Net levy			5,422,710	4,912,614	510,096
Uncollected taxes at June 30, 2025			<u>(10,344)</u>	<u>(6,534)</u>	<u>(3,810)</u>
Current year's taxes collected			<u>\$ 5,412,366</u>	<u>\$ 4,906,080</u>	<u>\$ 506,286</u>
Current levy collection percentage			<u>99.81%</u>	<u>99.87%</u>	<u>99.25%</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Assessed Value of All Taxable Property
(UNAUDITED)

Schedule 30

<u>Fiscal Period</u>	<u>Tax Rate per \$100</u>	<u>Real Property</u>	<u>Personal Property</u>	<u>Utilities</u>	<u>Total</u>
2015 - 2016	0.4333	455,685,691	19,486,252	5,958,098	481,130,041
2016 - 2017	0.4333	409,582,541	70,621,319	6,129,809	486,333,669
2017 - 2018	0.4333	488,124,070	48,528,911	6,619,413	543,272,394
2018 - 2019	0.4333	494,920,378	49,776,829	13,547,427	558,244,634
2019 - 2020	0.4333	512,817,659	51,225,065	6,142,893	570,185,617
2020 - 2021	0.4333	530,120,487	61,965,700	6,143,402	598,229,589
2021 - 2022	0.4333	844,758,118	72,285,231	6,445,665	923,489,014
2022 - 2023	0.4333	875,658,778	80,961,328	5,649,505	962,269,611
2023 - 2024	0.44	875,658,778	80,961,328	7,353,287	963,973,393
2024 - 2025	0.44	1,117,375,740	115,058,351	-	1,232,434,091

Property is assessed at 100% of estimated sound value.

TOWN OF PITTSBORO, NORTH CAROLINA
Tax Levies and Tax Collections
(UNAUDITED)

Schedule 31

<u>Fiscal Period</u>	<u>Tax Levy</u>	<u>Collected Current</u>	<u>Percent Collected</u>	<u>Collected Prior Levies</u>	<u>Total Collected</u>	<u>Balances Delinquent</u>
2015 - 2016	2,052,235	2,038,198	99.32%	40,116	2,078,314	82,929
2016 - 2017	2,106,800	2,086,740	99.05%	30,736	2,117,476	66,053
2017 - 2018	2,354,766	2,345,654	99.61%	21,842	2,367,496	88,783
2018 - 2019	2,440,675	2,397,657	98.24%	20,259	2,417,916	110,432
2019 - 2020	2,473,042	2,438,902	98.62%	46,916	2,485,818	97,656
2020 - 2021	2,589,579	2,569,554	99.23%	38,257	2,607,811	79,424
2021 - 2022	3,520,357	3,499,630	99.41%	20,448	3,520,078	79,703
2022 - 2023	3,851,524	3,843,477	99.79%	3,880,063	3,896,159	35,068
2023 - 2024	4,619,545	4,604,582	99.68%	4,608,183	4,610,652	43,961
2024 - 2025	5,422,710	5,412,366	99.81%	5,415,388	5,430,351	36,320

TOWN OF PITTSBORO, NORTH CAROLINA
Revenues Other Than Property Taxes
(UNAUDITED)

Schedule 32

<u>Fiscal Period</u>	<u>Licenses and Permits</u>	<u>Interest</u>	<u>Revenues from Other Agencies</u>	<u>Other</u>	<u>Gross Revenues from Utilities</u>
2015 - 2016	27,793	2,312	1,267,141	960,898	2,784,697
2016 - 2017	201,876	2,367	1,399,530	1,506,236	2,933,170
2017 - 2018	101,133	2,192	1,497,494	1,004,422	3,019,279
2018 - 2019	79,936	4,465	1,605,616	1,011,343	3,019,279
2019 - 2020	93,854	24,761	2,338,612	855,163	4,432,393
2020 - 2021	88,144	3,529	2,501,752	749,643	3,977,530
2021 - 2022	106,368	8,206	2,428,720	794,756	6,495,128
2022 - 2023	155,258	156,326	2,596,609	1,608,816	9,158,741
2023 - 2024	133,895	386,273	3,129,913	1,482,112	7,497,937
2024 - 2025	220,101	182,211	3,217,001	2,484,401	-

TOWN OF PITTSBORO, NORTH CAROLINA
Expenditures for Selected Functions
(UNAUDITED)

Schedule 33

Fiscal Period	General Government	Public Safety	Streets and Sanitation	Cultural and Recreation	Economic and Physical Development	Debt Service	Utilities	
							Operating	Debt Service
2015 - 2016	904,393	1,612,821	899,793	300,939	263,435	50,380	2,979,079	396,948
2016 - 2017	912,404	1,708,071	882,945	262,643	311,841	137,431	2,924,057	21,932
2017 - 2018	782,910	1,833,503	885,174	242,140	317,873	140,688	2,960,501	190,886
2018 - 2019	891,953	2,049,114	961,942	229,002	256,083	104,647	3,256,985	163,550
2019 - 2020	1,050,347	2,067,320	1,319,040	141,388	265,009	132,976	3,874,959	157,099
2020 - 2021	1,002,901	2,154,823	963,435	62,538	424,750	86,049	3,892,334	138,974
2021 - 2022	1,341,196	2,436,618	1,152,484	261,174	237,385	124,155	3,970,040	144,277
2022 - 2023	1,682,091	3,035,467	1,228,173	505,847	1,404	160,455	5,304,020	144,333
2023 - 2024	2,503,608	3,494,787	1,877,476	859,408	-	245,389	5,466,312	-
2024 - 2025	3,400,746	4,207,753	2,137,221	973,982	161,828	170,317	-	-

COMPLIANCE SECTION



**Independent Auditors' Report On Internal Controls Over Financial Reporting And On
Compliance And Other Matters Based On An Audit Of Financial Statements Performed
In Accordance With *Government Auditing Standards***

To the Honorable Mayor
and Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro (the "Town") as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements, and have issued our report thereon dated December 15, 2025. Our report includes a reference to other auditors who audited the financial statements of the Town of Southport ABC Board, as described in our report on the Town of Southport's financial statements. This report does not include the results of the other auditors' testing of internal control over financial reporting or compliance and other matters that are reported separately by those auditors. The financial statements of the Town of Southport ABC Board were not audited in accordance with *Government Auditing Standards*.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Town's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal controls. Accordingly, we do not express an opinion on the effectiveness of the Town's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal controls or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Sharpe Patel PLLC

Raleigh, North Carolina
December 15, 2025



INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH STATE MAJOR PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY THE OBM UNIFORM GUIDANCE AND THE STATE SINGLE AUDIT IMPLEMENTATION ACT

To the Honorable Mayor
and Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

Report on Compliance for Each Major State Program

Opinion on Each Major State Program

We have audited Town of Pittsboro's compliance with the types of compliance requirements described in the OMB Compliance Supplement and the *Audit Manual for Governmental Auditors in North Carolina*, issued by the Local Government Commission that could have a direct and material effect on each of Town of Pittsboro's major State programs for the year ended June 30, 2025. Town of Pittsboro's major State programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Town of Pittsboro complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major State programs for the year ended June 30, 2025.

Basis for Opinion on Each Major State Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and the State Single Audit Implementation Act. Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Town of Pittsboro and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major State program. Our audit does not provide a legal determination of Town of Pittsboro's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to Town of Pittsboro' State programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Town of Pittsboro' compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Town of Pittsboro' compliance with the requirements of each major State program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Town of Pittsboro' compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Town of Pittsboro' internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Town of Pittsboro' internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a State program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a State program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a State program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Sharpe Patel PLLC

Raleigh, North Carolina

December 15, 2025

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2025

SECTION I - SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared
in accordance to GAAP: Unmodified

Internal control over financial reporting:

Material weaknesses identified? _____ yes ✓ no

Significant deficiency(s) identified that are
not considered to be material weaknesses? _____ yes ✓ none reported

Noncompliance material to financial statements noted _____ yes ✓ no

Federal Awards

Identification of major federal programs:

There are no major Federal awards.

State Awards

Identification of major State programs:

Material weaknesses identified? _____ yes ✓ no

Significant deficiency(s) identified that are
not considered to be material weaknesses? _____ yes ✓ none reported

Type of auditor's report issued on compliance for
major State Programs: Unmodified

Any audit finding disclosed that required to be
reported in accordance with the State Single
Audit Implementation Act _____ yes ✓ no

Noncompliance material to financial statements noted

Identification of major State Programs"

Program Name
Statewide Contingency

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2025

SECTION II - FINANCIAL STATEMENT FINDINGS

No findings for the year ended June 30, 2025

SECTION III - STATE AWARDS FINDINGS

No findings for the year ended June 30, 2025

TOWN OF PITTSBORO, NORTH CAROLINA
Summary Schedule of Piror Year Audit Findings
For the Year Ended June 30, 2025

Finding 2024-001:

Corrected.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Expenditures of Federal and State Awards
For the Year Ended June 30, 2025

Grantor/Pass-through Grantor/Program Title	Federal ALN	State/Pass- Through Grantor's Number	Expenditures
FEDERAL GRANTS			
Cash Assistance			
<u>U.S. Department of Transportation</u>			
Passed-through the N.C. Department of Transportation			
Highway Planning and Construction Program	20.205	XXX XXX	\$ 172,746
Total U.S. Department of Transportation			172,746
Total federal assistance			172,746
STATE GRANTS			
Cash Assistance:			
<u>North Carolina Department of Transportation</u>			
Powell Bill	N/A		170,727
<u>North Carolina Department of Transportation</u>			
Statewide Contingency	N/A		1,250,000
Total State assistance			1,420,727
Total federal and State assistance			\$ 1,593,473

Notes to the Schedule of Expenditures of Federal and State Financial Awards:

Note 1: Basis of Presentation

The accompanying schedule of expenditures of federal and State awards (SEFSA) includes the federal and State grant activity of Town of Pittsboro, North Carolina under the programs of the federal government and the State of North Carolina for the year ended June 30, 2025. The information in this SEFSA is presented in accordance with the requirements of Title 2 US Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and the State Single Audit Implementation Act. Because the Schedule presents only a selected portion of the operations of the Town, it is not intended to and does not present the financial position, changes in net position, or cash flows of the Town.

Note 2: Summary of Significant Accounting Policies

Expenditures reported in the SEFSA are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3: Indirect Cost Rate

The Town has elected not to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.